Pillar1A2-B: 🐯🛠️ RBI's Monetary Policy Tools- CRR, SLR, Repo, OMO, PSL etc.

- **Note: Yes New RBI governor - December 2024, IAS Sanjay Malhotra replaced IAS Shaktikanta Das as RBI Governor. Updating all graphics/mindmaps in my Handout & PPT with the new photo is technically challenging, so please focus on the text content and avoid nitpicking 🙏**

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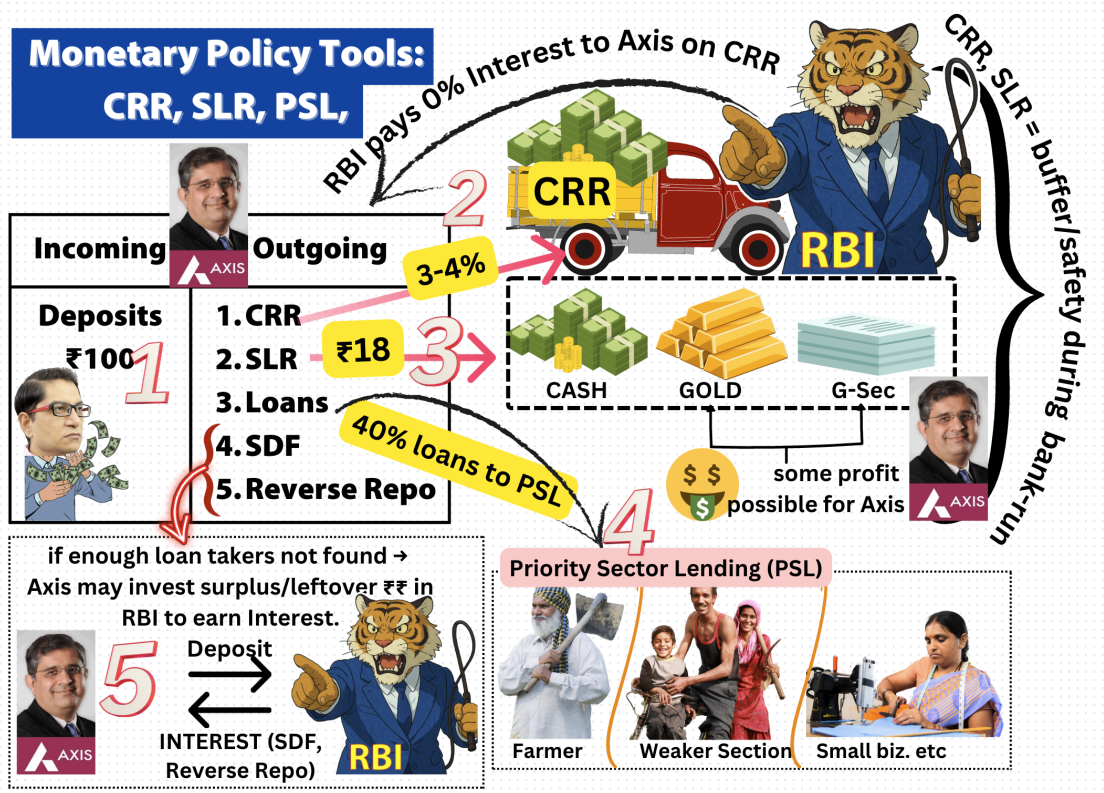
12 🐯📢 Monetary Policy (मौद्रिक नीति)



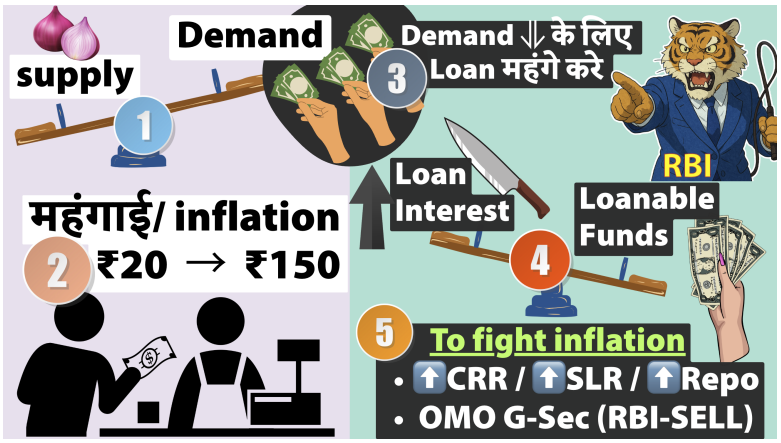
- [**Definition**] Monetary Policy is a macroeconomic policy (समष्टि आर्थिक नीति), designed by Central bank of a country, to manage money supply & interest rates. It helps shaping variables such as inflation, consumption, savings, investment, & capital formation (मुद्राआपूर्ति व ब्याजदरो को नियंत्रित कर मुद्रास्फीति/महंगाई, मांग/खपत, बचत, निवेश, पूंजी निर्माण को आकार देना- केंद्रीय बैंक द्वारा बनाई गई इस प्रकार की नीती को मौद्रिक नीती कहते हैं).
- [**Significance**] Monetary policy plays an important role in price stability [inflation control], economic growth, job creation and social justice in any economy. (महंगाई-नियंत्रण, आर्थिक वृद्धि, रोजगार सृजन, सामाजिक न्याय के लिए महत्वपूर्ण साधन है ये मौद्रिक नीती)
- **Milton Friedman**: This American economist's research on monetary policy made this subject more popular, he also won a Nobel in Economics in this regard (1976).
- **Philip Curve**: Inflation ↑ = unemployment ↓ (and vice versa). मंहगाई बढ़ेगी तो बेरोजगारी घटेगी. मंहगाई कम होगी तो बेरोजगारी बढ़ेगी. (More in Pillar#4C)

- So, stable & moderate inflation is good for the economy. (स्थिर व मध्यमस्तर महंगाई अर्थतंत्र के लिए अच्छी)

So, RBI tries to keep inflation with 2-6% Consumer Price Index (CPI: All India) using its bi-monthly monetary policy made by its 6- member statutory Monetary Policy Committee. (छ:-सदस्यवाली वैधानिक समिति द्वारा द्वि-मासिक मौद्रिक नीति निर्माण करके रिजर्व बैंक महंगाई दर को उपभोक्ता मूल्य सूचकांक के हिसाब से २-६% में नियंत्रित करने की कोशिश करता है)

12.11 MonPolicy: Quantitative Tools (परिमाणात्मक साधन)

- Also known as (aka) **General or Indirect Tools** as they affect the entire economy, and not just a particular sector. (ये साधन / हथियार / उपकरण सामान्य या अप्रत्यक्ष हैं क्योंकि यह किसी एक क्षेत्र-विशेष को नहीं, किंतु पूरी अर्थव्यवस्था को असर करते हैं)
- Notable examples: CRR, SLR, Repo, OMO etc.



12.11.1 Statutory Reserve Requirements: CRR, SLR (Fight inflation: ↑, deflation: ↓)

- CRR and SLR are collectively known as "**Variable Reserve Ratios**" or "**Statutory Reserve Ratios**" (इन दोनों को परिवर्तनीय आरक्षित अनुपात / वैधानिक आरक्षित अनुपात भी कहा जाता है)

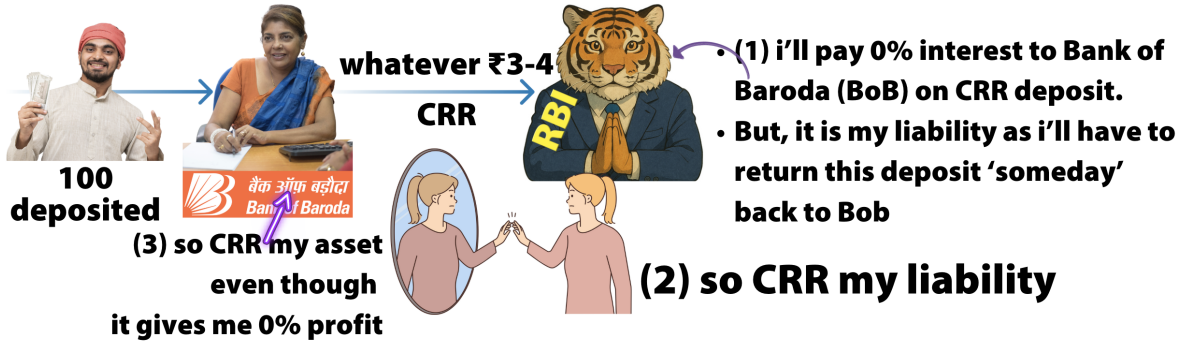
CRR- Full form: Cash Reserve Ratio (नकद कोष अनुपात)	**SLR**-Full form: Statutory Liquidity Ratio (वैधानिक तरलता अनुपात)
Banks must keep this much deposits (or balance) with RBI. RBI doesn't pay interest on this deposit, except in extraordinary circumstances like 1999's Banking slowdown. (बेंक ने जमाकर्ताओं से हांसील की हुई रकम का कुछ हिस्सा रिजर्व बेंक मे जमा करना पड़ेगा।)	Banks must keep this much deposits in liquid assets such as cash, gold, G-Sec, T-Bills, State Development Loan Bonds and other securities notified by RBI. (बेंक ने जमाकर्ताओं से हांसील की हुई रकम का कुछ हिस्सा, रिजर्व बेंक द्वारा मान्य तरल परिसंपतिमे निवेश करना होगा)
Bank earns no profit / interest, as such.	Some profit may be involved. (मुनाफा हो सकता है)
- CRR: first suggested by British economist **J.M. Keynes** & first introduced in US Federal Reserves (=Central Bank of USA). - Mandated under RBI Act, 1934	Mandated under Banking Regulation Act, 1949 (बैंकिंग विनियमन अधिनियम के अनुसार इसे लागू किया जाता है)
⇒ RBI can fix any amount of CRR. Legally	⇒ Presently it is 18.00% of NDTL.

there is no minimum or maximum limit. Although in real life, RBI will not keep CRR@100% otherwise, no bank can give loans then economy will stop functioning. ⇒ 2025-Dec: It is 3% of Net Demand & Time Liabilities of a bank (NDTL)	⇒ Legally, SLR can't be made more than 40%. (कानूनन रूप से रिज़र्व बैंक इसे 40% से ज्यादा नहीं रख सकतीं.)
- All Banks must keep CRR. - However, RBI may prescribe separate % norms/slabs for Regional Rural Banks (RRBs) and Cooperative Banks. - More in Pillar1B1: classification	Similar to left cell of this table. (सभी प्रकार के बैंक के लिए अनिवार्य. हालांकि क्षेत्रीय ग्रामीण बैंक तथा सहकारी बैंको के लिए इसकी प्रतिशत मात्रा रिज़र्व बैंक, अन्य बैंको की तुलना में थोड़ी भिन्न रख सकती है)

Difference between NDTL, ODTL, Total DTL?= NOT IMP4IAS. If you want to satisfy your curiosity, do google search yourself but I don't t think it as best use of time.

- CRR-SLR are counted on fortnight (15-15 days) basis. If not maintained, bank will have to pay penalty interest rate to RBI. This Penalty rate is linked with **Bank Rate%**. (हर 15 दिनों के लिए गिना जाता है. यदि बेंकर ने नहि नहीं माना तो जुर्माना लगेगा.)
- CRR-SLR ensure monetary stability of India through **two primary functions:**
  1) CRR assists in money multiplier effect. (HOW? Watch lecture video.)
  2) CRR-SLR provide buffer/protection during a **Bank Run (बैंकों में से जमाराशि वापस लेने की दौड़)** i.e. an emergency when every depositor wants to pull out money from his bank account at once, mainly due to fake news / rumours sometimes due to war e.g. in Russia-Ukraine
- Theoretically, CRR/SLR can be used for inflation control. But RBI primarily relies on REPO Rate (=its Policy Rate) to combat inflation, and not CRR/SLR. (हालांकि, सीआरआर और एसएलआर महंगाई नियंत्रण के मुख्य साधन नहीं है. रिज़र्व बैंक महंगाई से लड़ने के लिए मुख्यता रेपो रेट का इस्तेमाल करती है)

12.11.2 FAQ: How can CRR be an asset for a banker? If RBI pays 0% Interest on it!!?



12.11.3 FAQ: What will be the impact of SLR changes on Money Multiplier?

Ans. Can't be written mathematically. Reason given in Video.

12.12 CRR, SLR: Development in Recent Years

Note: 25_Jul_26 – CRR is still 3%

12.13 NIM, Liquidity overhang & ₹2000 Withdrawal

12.13.1 Intermediation cost of Bankers (बैंक चलाने के लागत खर्च)

- Intermediation cost = the cost of running the banking business—e.g. staff-salaries, server cost, Office rents, advertisement etc.
- 2025: RBI Governor asked banks to bring down intermediation costs with help of A.I.bcoz, Lower intermediation costs will allow banks to offer more attractive rates to borrowers and depositors.

12.13.2 Net Interest Margin (NIM) = Loan interest minus deposit interest

FAQ: compare contrast Phd on NIM vs Intermediation cost? Ans. We're not here for B.Com exam. 1 line understood is enough. थोड़ा-पढ़ो-आगे-बढ़ो.

12.13.3 ES24: NIM >5% is dangerous for financial stability

- Net interest margin (NIM) is difference between Loan interest MINUS Deposit Interest Rate. An NIM of 3–4% is considered healthy/good for bank's profitability and growth.
- if NIM>5%, it implies that greedy-banker is exploiting the depositor and/or the borrower = not good for financial stability of the system. (मुनाफ़ाख़ोरी/व्याजख़ोरी, शोषण, वित्तीय स्थिरता।)
- Thus, High NIM (e.g. >over 5%) is negatively correlated with financial stability. But, thankfully, the NIM of Indian banks is below 5%- said Economic Survey.

12.13.4 Liquidity overhang

- refers to a situation in monetary policy where money supply is >> (higher) than demand for money (loans). [जब मुद्रा आपूर्ति ज़्यादा और मुद्रा/लोन की माँग कम हो]
- Result? Loan interest rates become cheaper. This could have negative consequences if there is a problem of high inflation. (Because cheap loans → more shopping → more demand → inflation problem worsens) (लोन सस्ते हो जाएँगे, और वे महंगाई की समस्या को जटिल बनायेंगे।)

12.13.5 Liquidity overhang may occur in following scenarios

- During Very Dovish (Easy) monetary policy e.g USA's Quantitative Easing (QE) - Refer to the last section of this handout.
- During Note-ban (Demonetisation) or withdrawal of currency. e.g. ₹2000 in 2023. [Solution: i-CRR. Refer to Next Section]

12.14 INCREMENTAL CRR AFTER ₹2000 WITHDRAWAL

- After withdrawal of ₹2000 notes ⟶ 87% of such notes coming as bank deposits. (Meaning public didn't exchange 87% 2000 notes with other notes like ₹2000 ₹500x4 notes. Public simply deposited in to their bank accounts.)
- But as we learned in previous section, this **can cause problem of 'Liquidity overhang'**
- So, RBI came up with Incremental Cash Reserve Ratio (I-CRR: वृद्धिशील नकद आरक्षित अनुपात)

	Normal CRR	i-CRR (10%)
Rate	4.0% of NDTL as of 2025-Feb	Whatever extra/ additional deposits came during []May 19, 2023 and July 28, 2023]…keep… 10% extra CRR from it, During 12th-Aug to 7th-Oct-2023 on those deposits. (Exact dates / **Exact formula not imp**.) 2000 के नोट चलन हटाने के बाद बैंको में जो अतिरिक्त राशि जमा हुई उसमें कुछ अतिरिक्त CRR एक अस्थायी समय तक रखना होगा ऐसा नियम.
Objective?	- Bank run safety - Control money Supply	- To suck excess liquidity after withdrawal of ₹2000 . - To avoid LIQUIDITY overhang problem.
Will RBI pay interest to bankers on this?	No.	No. रिज़र्व बैंक बैंकरों को कोई ब्याज नहीं देगा इस पर.

- i-CRR locked ₹1 trillion worth money. i-CRR was a temporary measure from 12th-Aug to 7th-Oct 2023. Then i-CRR was withdrawn/removed.
- Earlier, RBI had issued a temporary i-CRR in 2016–17 after demonetisation of ₹500 & ₹1000

🤦‍♀️ **FAQ: does i-CRR only count ₹2000 note deposit or does it also count ₹100-500 type deposits?** Ans. RBI press release didn't clarify. And I didn't waste time doing self-PHD.

12.14.1 🚩👶✋: 🐯🗄️✂️🗓️ CRR Technical things NOTIMP

Following technical operational aspects of CRR not imp / poor cost benefit in studying for exam

- What is Automated sweep-in and sweep-out (**ASISO**) facility?
- What is Flexible Automated Option for Managing CRR?
- Banks are required to calculate CRR on a fortnightly (15 days) basis. They have to maintain at least 90% of that amount in CRR on daily basis. RBI also ↓ minimum daily CRR balance maintenance from 90% to 80% upto 2020-June. = NOTIMP. परीक्षा के लिए काम की नहीं

🚩👶✋Above type of information is not really important for the scope of civil service exam. So, don't lose sleep if some inexperienced private Mocktest quiz master framing MCQs like this.

🔠❓ **Cash Reserve Ratio refers to _ _ _ . (UPSC-CDS-i-2020)**

(a) the share of Net Demand and time liabilities (NDTL) that banks have to hold as liquid assets
(b) the share of NDTL that banks have to hold as balances with the RBI
(c) the share of Net demand and time liabilities that banks have to hold as part of their cash reserves
(d) the ratio of cash holding to reserves of banks

🔠❓ **Find correct statements about SLR: (UPSC-CDS-2011-II)**

1. To meet SLR, Commercial banks must keep cash only.
2. SLR is maintained by the banks with themselves.
3. SLR restricts the banks leverage in pumping more money into the economy.

Answer codes:(a) 1, 2 and 3 (b) 1 and 3 (c) 2 and 3 (d) only 2

🔠❓ **When RBI reduces SLR by 50 basis points which is likely to happen? (UPSC-Pre-2015)**

(a) India's GDP growth rate increases drastically.
(b) Foreign Institutional Investors may bring more capital into our country.
(c) Scheduled Commercial Banks may cut their lending rates.
(d) It may drastically reduce the liquidity to the banking system.

🔠❓ **If the CRR is lowered by the RBI, supply of money in the economy will:_ _ _ (CAPF-2023)**

(a) remain unchanged. (b) decrease. (c) increase. (d) have ambiguous impact.

🔠❓ **The banks are required to maintain a certain ratio between their "cash in hand" and total assets. This ratio is known as :_ _ _ (CAPF-2023)**

(a) Cash Reserve Ratio (CRR) (b) Statutory Liquidity Ratio (SLR)
(c) Central Bank Reserve (CBR) (d) Statutory Bank Ratio (SBR)

🔠❓ **If the CRR is lowered by RBI, supply of money in the economy _ _ _ (CAPF'23)**

(a) remain unchanged. (b) decrease.(c) increase.(d) have ambiguous impact.

12.15 🐯📣📐 MonPolicy → Quant Tools → Rates → LAF Repo

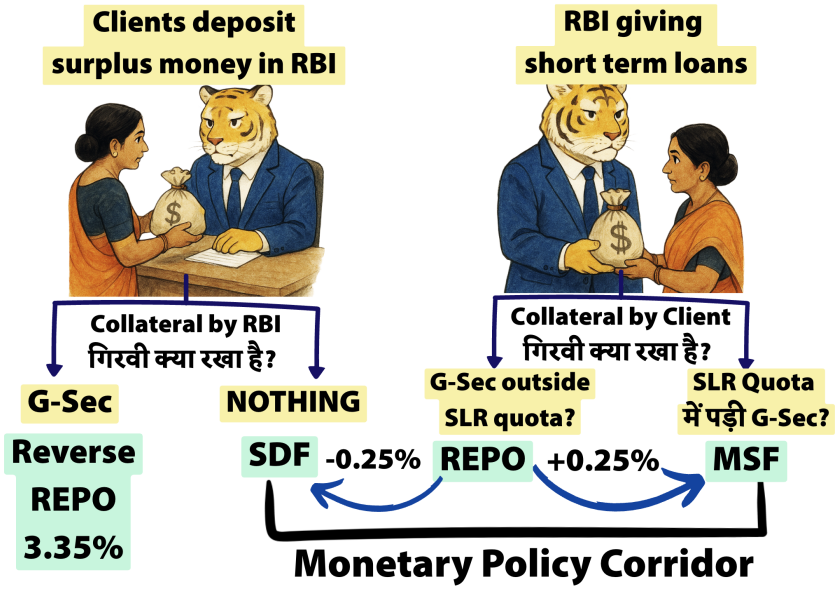
Note: Latest repo rate @separate section of this HDT, heading "RBI's Monetary Policies Trend".

RBI's Liquidity Adjustment Facility (**LAF**, तरलता समायोजन सुविधा): has two windows:

® LAF-Repo Rate (रिपो दर/पुन: क्रय-अनुबंध)	® ® LAF-Reverse Repo Rate (उलट रिपो/ पुन: क्रय-अनुबंध)
The Interest rate at which RBI lends short-term loans to its clients, keeping their G-Sec as collaterals. (रिजर्व बेंक अपने ग्राहको को लघु अवधि के ऋण देता है। उसपर लागू ब्याज दर को रिपो दर कहेते है। ग्राहक ने अपनी सरकारी प्रतिभूतियों को रिजर्व बेंक मे गिरवी रखना पड़ता है)	It's the interest rate that clients earn when parking their surplus funds with the RBI for short periods, to earn interest. (ग्राहक अपना अतिरिक्त धन, रिजर्व बेंक मे लघु अवधि के लिए जमा कर जो ब्याजदर कमाते है, उसे उलट-रिपो-दर कहेते है)
⇒ Clients enter into an agreement with RBI to repurchase their G-sec at a future date at a (higher) pre-determined price. ⇒ Banks can't pledge their SLR-quota-G-Secs for this borrowing.✋	Mechanism similar to Repo, RBI gives its G-Sec as a collateral to client.
⇒ Repo also called 'Ready Forward Transaction'. ⇒ Repo Rate is our **Policy Rate** to control inflation. (मौद्रिक नीति दर)	Reverse Repo Rate = Repo% MINUS x%

⇒ Repo = RBI lends short term loans its clients, & demands G-Sec/T-bill as collateral. ✋ At every place, I've not mentioned T-bill, as it just reduces the speed of revision.

⇒ **Market Repo** = Players other than RBI (such as bank, NBFCs) loaning short money to other Banks/NBFCs/Corporate Companies, and demanding financial securities (G-Sec/T-Bill/shares/bonds/commercial paper etc.) as collateral. What do those terms mean? **Ans**. Ref the table given in topic Operation Twist.



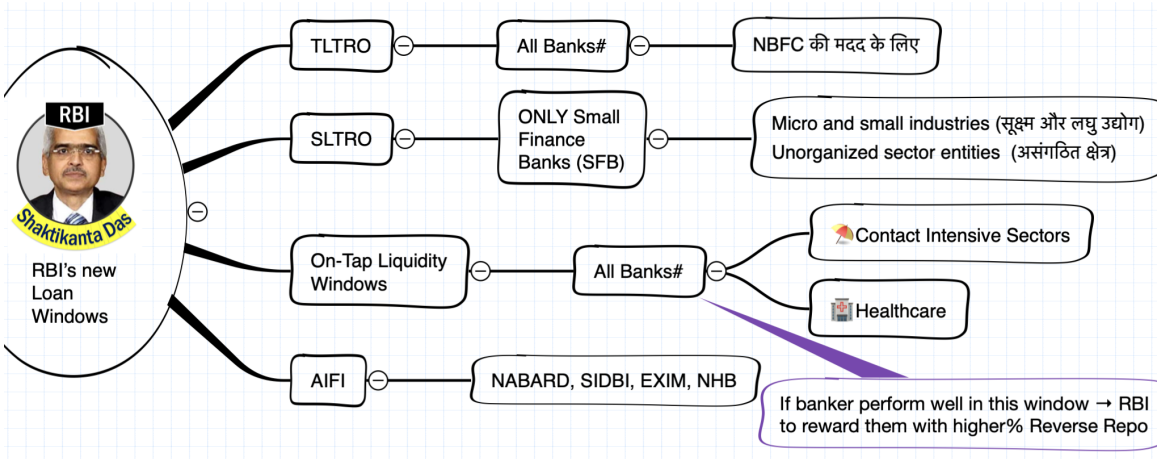
12.16 ⚡ Current repo vs [neutral or terminal] repo rate

Term	Meaning

⚡Current repo	It is the present Repo rate e.g. 5.50% in 2026-June. (**वर्तमान रेपो दर**)
Neutral or Terminal repo rate **तटस्थ रेपो दर**	- % Repo rate at which inflation is under control, and full employment achieved. RBI will not increase the repo rate beyond this point ELSE it'll damage consumer demand & GDP growth. - This is a theoretical concepts, RBI has not officially declared any number / target for it. (यदि इस नंबर से ज्यादा रेपो दर को बढ़ाया तो फिर पब्लिक लोन कम लेगी और अर्थतंत्र को कठिनाई होगी बेरोजगारी बढ़ जाएगी.)
NAIRU	Non-Accelerating Inflation Rate of Unemployment. This term is related with Unemployment. **It is not loan interest rate**. (We'll study it in: Pillar#4C: Unemployment) (यह बेरोजगारी दर है. ब्याज दर नहीं. खिचड़ी मत करो)

12.17👻🐯📣📈 REPO → SPECIAL WINDOWS UNDER ATMA NIRBHAR

'Atma-Nirbhar' is a set of reforms by RBI and govt to revive Indian economy after Corona-2020



12.17.1 👻🐯📣📈 REPO → TLTRO, SLTRO, On-Tap Windows after Corona

- We will not waste time learning how exactly they worked because it is outdate. So only vague idea of the keywords is enough.
- #In above chart, All Banks doesn't include Payment Banks. PB can't give loans (Ref: #1B1)
- "Contact Intensive Sectors" means hotel, gym etc.

12.17.2 (2020) 🐯🤧Reverse Repo Rate cut

Figure 1: sir, जब तक आप loan के लिए हाँ नही कहेंगे, हम आपको telemarketing spam-calls करते रहेंगे!

Corona led Economic Slowdown → Loan demand ↓ → banks parking their excess funds in RBI to earn interest in the form of reverse repo rate. (कोरोना महामारी के दौरान बैंक वाले अपना अतिरिक्त धन रिज़र्व बैंक में डाल के बैठे बिठाये व्याज कमा रहे थे. ग्राहकों में लोन का पैसा घुमाने की मेहनत नहीं कर रहे थे.)

⇒ **By 2020-March:** banks parked ₹~3 lakh crores in RBI in Reverse Repo.

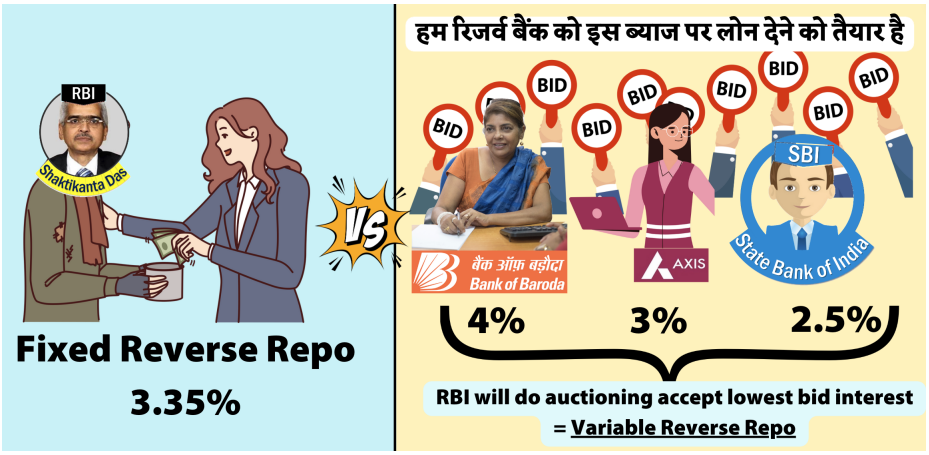
⇒ So, RBI has drastically reduced ↓the reverse repo rate to 3.35% to discourage such laziness of

banks. (बैंको के इस आलसीपन को दूर करने के लिए रिज़र्व बैंक ने रिवर्स रेपो रेट में कटौती की)

⇒ Benefit of reverse repo reduction?

- ✓ IF SBI offers 5.9% Fixed deposit interest rate to depositors, and parks it in the RBI reverse repo rate (3.35%) then SBI will actually make losses.
- ✓ So, RBI hopes SBI will now be 'forced' to give loans in a proactive manner ~~(through SMS-spam, email-spam and unwanted telemarketing calls etc)~~

12.17.3 MonPolicy → Quant Tools → Variable Rate Reverse Repo (VRRR)



Type	(Normal / Fixed) Reverse Repo	Variable rate reverse repo (VRRR)
Interest Rate?	Fixed by RBI. e.g. 3.35% (2023)	Varies/changes depending on the auction bids made by clients.
Objective?	When RBI wants to reduce money supply	
Can RBI reject clients in this window?	Yes. Depends on RBI discretion/mood	

- VRRR is a special method thru which RBI conducts reverse repo rate deals with clients, via auction. so exact % is not fixed. because % depends on the auction. (नीलामी से तय होता है रिवर्स रिपो दर। असल में कैसे होगा उसमे हम समय बर्बाद नहीं करेंगे)

FAQ: Why doesn't RBI merge these 2 tools ? Ans. Governor will use them as per his situation/discretion. He didn't explain, I didn't do self-PHD.

FAQ: I've counter-logics on how Bankers can misuse these windows!? Ans. Look at PYQs. do u think UPSC will ask it? R u a focused-race-horse or r u a wandering-street-bull?

12.17.4 MonPolicy → Quant Tools → Rates → MSF (2011)

- **Marginal Standing Facility (MSF: सीमांत स्थायी सुविधा)** is the Interest rate at which RBI lends short-term loans to Scheduled Commercial Banks (SCB) & Regional Rural Banks (RRB) with their SLR-quota G-Sec as collaterals. (ऐसी खास खिड़की है जहाँ से रिज़र्व बैंक द्वारा अनुसूचित वाणिज्यिक बैंको तथा क्षेत्रीय ग्रामीण बैंकों को, उन बैंको के एसएलआर कोटा की प्रतिभूतियों को गिरवी लेकर रिजर्व बैंक उन्हें लघु अवधि के कर्ज देता है)
- MSF higher than Repo Rate. MSF = Repo% + 0.25%

- What is the difference/meaning of SCB/RRB/SFB/UCB etc? Ans: (Ref: HDT-Pillar#1B1:)

FAQ:Which types of banks can access MSF facility? ✅Ans. It is given in above note itself.

FAQ: are cooperative banks eligible for MSF or not?✅**Ans.** not imp. self-PHD karo.

12.17.5 MonPolicy → Quant Tools → Rates → Bank rate (बैंक दर):

	Bank Rate	MSF	Repo Rate
Introduced in	RBI Act, 1934**	2011	2000
What is the % rate?	Since 2012: Bank Rate% = MSF%	MSF = Repo% + "x"%	Monetary Policy Committee decides
Who can borrow from the RBI?	Only banks		All clients of RBI: bank, non-bank, Union & State Govt
Collateral required?	**Yes and No	Bank can pledge securities from its SLR quota	Yes, G-Sec/T-bill. But not from SLR
Loan duration	Longer than repo	Short term usually overnight to 14 days	
Primary Utility?	Nowadays mainly for deciding penalty on errant banks	Emergency borrowing by bank, using their securities from SLR quota subject to certain limits.	Short term borrowing by all clients of RBI.

- **RBI Act, 1934: "Bank rate is the standard rate at which RBI buys or **rediscounts** first class securities, bills of exchange or other commercial papers.(-NCERT)" *rediscounting basically means the "repo-walla game= RBI buys @x price, re-sells@y price where y>x"*
- But, since the introduction of the Repo rate in the 2000s, the Bank rate has become a dormant tool (निष्क्रिय उपकरण) =not frequently used by RBI for lending or by banks for borrowing).

So, **reference books/websites differ** in its operational status e.g. some of them would say:

- Bank rate requires no collateral and is meant for long term loans.
- Bank rate accepts collateral which can be both GSec/T-bill as well as private companies' securities.

So, in the real exam, it depends on which book/web source the examiner has copied the statement(s) and accordingly you've to take a judgement call in ticking the answer. (विभिन्न और किताबों और वेब साइटों पर बैंक दर की व्याख्या/अर्थ गठन अलग अलग है .)

12.17.6 Quanti. Tools → SDF (=Reverse Repo walla game Without Collaterals)

⇒ 2013: Urjit Patel Committee on Monetary policy proposed standing deposit facility (SDF)

⇒ SDF = Clients park/deposit their extra money in RBI. RBI pays them interest. RBI doesn't give any collateral (unlike in REVERSE REPO). (स्थायी जमा/डिपॉज़िट सुविधा = रिज़र्व बैंक के ग्राहक अपना अतिरिक्त पैसा रिज़र्व बैंक में जमा करेगा. रिज़र्व बैंक ग्राहकों को डिपॉज़िट के लिए ब्याज देगा. रिज़र्व बैंक ग्राहक के पास गिरवी कुछ नहीं रखेगा.)

⇒ Benefit of SDF: To combat inflation → RBI can suck extra money supply via SDF window. RBI will not have to pledge G-Sec as collateral to clients. (महँगाई से लड़ने वास्ते बाज़ार में से पैसों की अतिरिक्त

आपूर्ति को चूसने/हटाने/कम करने के लिए रिज़र्व बैंक एसडीएफ़ का इस्तेमाल कर सकता है- बिना कुछ गिरवी रखे।)

⇒ 2018: RBI act amended to add SDF facility. (रिज़र्व बैंक क़ानून में सुधार किया गया).

⇒ **2022-April:** RBI launched SDF. RBI also changed in Policy corridor.

12.17.7 ⛓ MSF Repo vs Reverse Repo vs SDF (numbers as of 2026-JUL)

Tool	MSF	Repo	SDF	Reverse Repo
Present rate (2026-Jul)	5.50% (Repo + 0.25%)	5.25%	5.00% (Repo minus 0.25%)	3.35% Fixed Reverse Repo Rate (FRRR)
Lender	RBI	RBI	Banks+some NBFCs	Banks+some NBFCs
Borrower	ONLY Scheduled Commercial Banks (SCB) & RRB	Banks+some NBFCs e.g. as Primary Dealers	RBI	RBI
Borrower need to give Collateral?	Yes	Yes	Not required.	Yes
##Facility available at Discretion of	Client (SCB)	RBI	Client (Banks+Some NBFC)	RBI

⇒ ## Discretion = here means suppose a client (Bank/NBFC) comes for Reverse Repo= It's not compulsory for RBI to entertain him. (रिज़र्व बैंक की मर्ज़ी की बात है कि उसको सेवा देगा या नहीं देगा.)

⇒ But, If client (Banker) comes for MSF = RBI will not say "NO" to him. RBI will help him.

⇒ What is SCB/Scheduled commercial banks? Ans. Refer Pillar1B1: Classification of Banks

12.17.8 🚧 Policy Corridor / LAF Corridor / Monetary Policy Corridor(नीति गलियारा)

⇒ Policy Corridor also known as Liquidity Adjustment Facility (LAF) corridor. (तरलता सुविधा गलियारा)

⇒ BEFORE 2022-April: Policy Corridor = total width between: MSF <—> REPO <—> Reverse Repo. (इन तीनों उपकरणों के बीच की कुल चौड़ाई)

⇒ After 2022-April: Policy Corridor = MSF (Repo+0.25%) <—> REPO <—> SDF (Repo-0.25%)

⇒ Thus total width is 0.25+0.25= 0.50%

Note: 100 base point system (BPS) = 1% So 25 bps = 0.25%. 50 bps = 0.50%

⇒ SDF has replaced the Reverse Repo Rate as the floor of the Policy corridor.

⇒ However, Reverse Repo was not discontinued. Reverse Repo will remain as part of RBI's toolkit

⇒ Reverse Repo will be used as per the mood/discretions of the RBI from time to time

12.17.9 🚩👶 SDF pe faaltu ke FAQ

🚩👶 **FAQ: is SDF part of LAF window or separate window?**

Ans. Governor didn't explain in press release so, i didn't do self-PHD.

FAQ: SDF is launched so does it mean Reverse Repo discontinued?

Reverse Repo rate **not** discontinued. Reverse Repo will remain as part of RBI's toolkit. RBI will continue to use it at its discretion from time to time. Presently Reverse Repo is 3.35%

FAQ: what is the deposit time duration of SDF and Reverse Repo?

> Sufficient to know these are for short-term. Now what exactly is short-term? Is it 1 day, 7 day, 14 day? = Not important for exam. Why overburden the memory card of the brain with unnecessary information? क्यो झंडा लेके तुम खड़े हो भाई? तुमको IAS बना है या तुमको पीएच करना है, पहेले वो नक्की करो।

FAQ: IF SDF and Reverse Repo both present, then why would Bankers go for SDF where no collateral given?

> The time period and interest rate offered on SDF and Reverse Repo are different. So, it **depends on bankers' business-requirement, cash-flow management.** RBI is not pointing in gun their head to use it. (बैंकर को ज़रूरत होगी तो इस्तेमाल करेगा. रिज़र्व बैंक उसकी कनपटी पर पिस्तौल नहीं रखा है. तुम अपना BP हाई kyo कर रहे हो?)

FAQ: Reverse repo is lower than SDF, then why is SDF labelled as 'floor' of the corridor?

Ans. RBI didn't explain, so i didn't self-PHD.

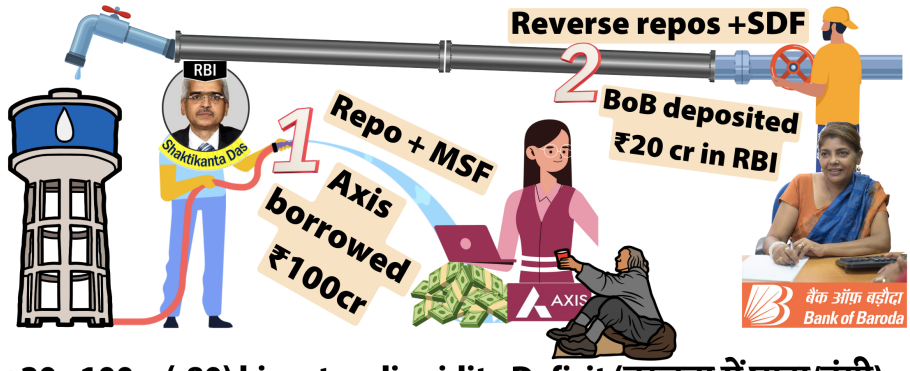
MCQ. Consider the following statements regarding instruments of monetary policy: (CDS-24-i)

1. Standing deposit facility (SDF) rate was introduced in April 2022.
2. SDF rate replaced fixed reverse repo rate as the floor of the LAF corridor.

Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

Note: This MCQ is UPSC examiner's slap on Vloggers & lazy coaching mafia who keep paddling a false **toolkit** narrative, to avoid updating their notes ke UPSC only asks concepts and not facts.

12.17.10 System level liquidity



System level liquidity = [(Reverse repos +SDF) – (Repo + MSF)]

- Positive number represents system surplus liquidity.
- Negative number represents system deficit liquidity.
- 2023: there has been a deficit of ₹0.42–1.61 lakh crore. [because RBI was reducing the money supply to combat the inflation.]
- FAQ: How/Why? Ans. Read the chart carefully. Watch the lecture peacefully.

12.17.11 🐷🔪 MSF borrowing ⇓ SDF Deposits ⇑ says 📕ES26:

- 2025: CRR cuts & OMO operations → Bankers have more liquidity / loanable funds.
- So, bankers are borrowing less from MSF and depositing more in SDF.

Numbers NOT IMP	2024–25	2025–26	TREND
Borrowings under MSF	₹6,902 crore	₹2,244 crore	⇓ Declined
Depositing funds under SDF	₹0.94 lakh crore	₹1.74 lakh crore	⇑ Increased

12.18🏧OPEN MARKET OPERATIONS- TWO TYPES

OMO Types	Meaning
repo-OMO	already learned in previous section. RBI buys/sells G-Sec with promise of repurchase. (e.g. Repo and Reverse Repo)
outright-OMO	RBI buys/sells G-Sec WITHOUT any promise to buy them back.

💁‍♀️FAQ: does it mean Repo is sub-type of OMO? Ans. Theoretically yes as per NCERT. But as far as MCQ ticking is concerned it depends on CONTEXT/Tone of the question. So far after observing the PYQ, UPSC examiner treats them as two separate tools, without MIXING up. For the purpose of my NOTES- consider OMO= secondary market mein RBI's buying-selling.

12.18.1 🐯📢 Market Operations (OMO): (Inflation → Sell G-Sec, Deflation → Buy)

Figure 2: Aloo Lelo, Pyaaz Lelo, G-Sec Lelo...

- **Open Market Operations** (खुले बाजार की क्रियाए): RBI buys and sells Union & State Govts' securities to control money supply.
  - RBI buying= Money supply ↑increased/liquidity injected in the market.
  - RBI selling = Money supply ↓decreased/liquidity absorbed from the market.
- **Market Stabilization Scheme** (बाजार स्थिरीकरण योजना): RBI sells special type of G-sec, T-Bill & Cash Management Bills (CMB) to suck excess liquidity. ✋How it works? How is it similar or different than OMO? Ans. NOTIMP. Very low profile thing for scope of UPSC.
- **Sterilization / Forex Swap**: Their primary objective is to control the currency exchange rate volatility (e.g. $1=₹65,70,80… मुद्रा विनिमय दर की स्थिरता के साथ जुड़ा हुआ मामला).<*More in* 📄*Pill#3* >
- **Operation Twist (2019):** a special type of OMO. Explained in next segment.

12.19🐯📢💼🧬MONPOLICY: QUANTI TOOLS: OMO → OPERATION TWIST

12.19.1 🔪💼: Security → Debt → G-Sec & Bonds (ऋण के लिए जारी की गई प्रतिभूतियां)

A 'Security' means a certificate/document indicating that its holder is eligible to receive a certain amount of money at a particular time. This could be a…

Table 1: प्रतिभूतियों के विभिन्न प्रकार

Borrower	🦁 Govt	👷 Corporate (निगम)
Short term	Treasury bills, Cash	Bill of Exchange, Commercial Papers,

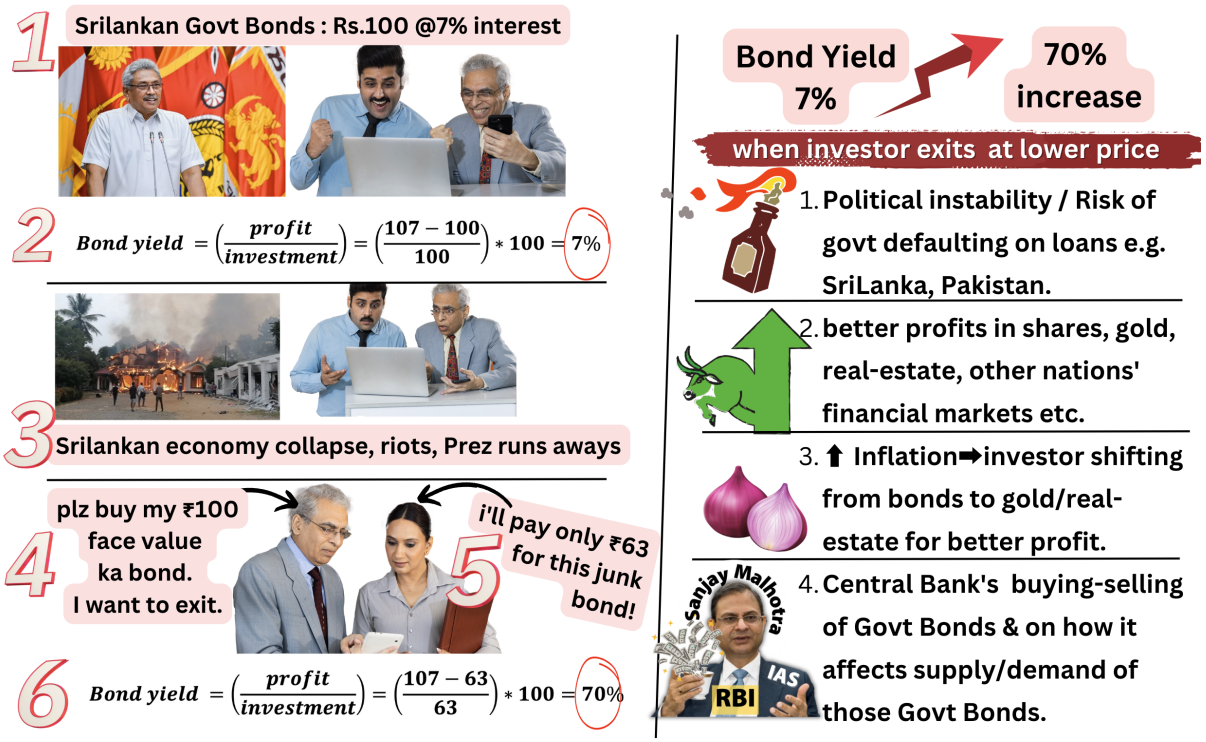
Borrower	Govt	Corporate (निगम)
(less than 1 year)	Management bills	Promissory Notes.
Long term (1 year/>) →	G-Sec, Sovereign Bonds	Bonds / Debentures
Interest rate	Usually lower than Corporates' because risk is low	Depends on following factors →

12.19.2 🛒 (🔪📻: 👴👨‍💼) Deepening of G-Sec market- Retail investors' RDAG @RBI

- RBI launched "Retail Direct Scheme" in 2021.
- Under this scheme, RBI permits "Retail Direct Gilt (RDG) account" for retail investors on its E-Kuber online platform. (आम निवेशक रिज़र्व बैंक में आरडीजी नामक खाता खोल पाएंगे)
- Both Resident Indians & non-resident Indians (NRIs) can open this account. (गैर निवासी भारतीय भी)
- Then Retail investors can directly buy Treasury Bills (T-Bill), G-Secs (of Union Government), State Development Loans (SDL are 'G-secs' of State Govts) and Sovereign Gold Bonds, from RBI directly. (आम निवेशक सीधा रिज़र्व बैंक से इन प्रतिभूतियों को खरीद सकता है.)
- Application fees to open the account = ₹ ZERO

– 🤩**Benefit?** 1) Earlier retail investors bought G-sec "indirectly" through mutual funds wherein mutual fund manager (MF) charged commission/fees. Now retail investor can buy directly so does not have to pay such commission/fees to MF managers. (बिचौलियों को दलाली/कमीशन नहीं देना होगा)

– (More in 📄Pillar#1C- SEBI Share market, DEMAT account etc)



12.19.3 🔪📻: 🤑 Bond Yield (बांड में निवेश करने पर होने वाली आय या मुनाफा)

– Bond yield is the profit an investor earns on a bond investment.

12.19.4 🔪💳: 🤑 Bond Yield ∝ 1/Price (सस्ते में खरीदा= तो मुनाफा ज्यादा)

⇒ If Bhide bought 8% interest walla bond @Rs.100, then his yield is 8%; If Jethalal bought it @90, his yield is 20%.

⇒ Thus, Bond yield is **inversely related** to the current selling price in the secondary market.

⇒ If a bond's demand ↑ ⟶ its selling price will ↑ ⟶ bond yield ↓ (Because of inverse relation)

12.19.5 🔪💳: 🤑 Bond yield: other factors affecting it (अन्य कारक)

⇒ If the economy is booming (तेजी), companies are making great profit, investors may sell bonds at lower prices in a hurry to unlock their money to invest it in shares of companies, because they think it'll get them more dividend. Then bond's current selling price ↓ ⟶ yield ↑.

⇒ If the economy is facing recession (Continuous decline in growth rate: मंदी) ⟶ companies will NOT make great profit ⟶ investors sell shares, & to buy bonds hoping they'll get secured fixed interest. ⟶ bond's demand ↑ in the secondary market ⟶ selling price ↑ ⟶ yield ↓.

⇒ Political instability. (Self-explanatory from SriLanka example.).

⇒ Inflation. (How? Explained in video).

⇒ Actions of the central bank. (see the section – Operation Twist).

12.19.6 🔪💳:👷Corporate Bonds: factors that determine its interest rate

If companies want to borrow money, they may issue bonds to investors. e.g. "*Whoever buys this Reliance Bond worth ₹1000, we will pay him 9.40% interest rate per year and return the principal after 15 years.*" Usually the interest rate offered on such bonds depends on

Factor (कारक)	How it determines corporate bond interest rate?
(Risk) Credit rating of company	Lower credit rating (e.g. CCC or D) ⟶ higher interest rate needs to be offered because risk of default is high. जब दिवालियेपन का जोखिम ज्यादा हो
Inflation	If Bond is not offering more % than the level of inflation% then investors may not come. (महंगाई दर से अधिक ब्याज दर नहीं देगा तो लोग नहीं जुड़ेंगे) why/how: Ans. Ref: Pillar1C ⟶ Inflation Indexed Bonds
Bank deposit interest rates	Higher the (Bank) deposit interest rate, higher bond interest rate needs to be offered to attract households to shift money from bank savings/FD to corporate bonds. (अगर बैंक जमाकर्ताओं को अच्छा ब्याज दे रहा है तो कंपनी ने ज्यादा ब्याज ऑफर करना होगा)
Yield on G-Sec	If G-Sec yield ↑, then corporate will have to offer even higher bond interest rate to attract the investors from G-Sec investment towards Corporate/company-Bond investment.

12.19.7 🐯📣💳🧬 Operation Twist: why?

⇒ Commercial banks were reluctant to lend money to private sector companies because of the problem of Bad Loans /Non-Performing assets (NPA: More in Pillar1B2). दिवालियेपन की घटनाओं के चलते, बैंकवाले निजी क्षेत्र की कंपनियों को कर्ज देने से डर रहे थे। आर्थिक वृद्धि और रोजगार सृजन के लिए यह अच्छी बात नहीं थी.

⇒ If such companies could borrow money by issuing corporate bonds (at cheaper interest rate) ⟶ more factories, more jobs, more production, more GDP.

⇒ RBI decided to attack the third factor: "If the yield on long term G-Sec decreased, then automatically Corporate Bond interest rates could also decrease."

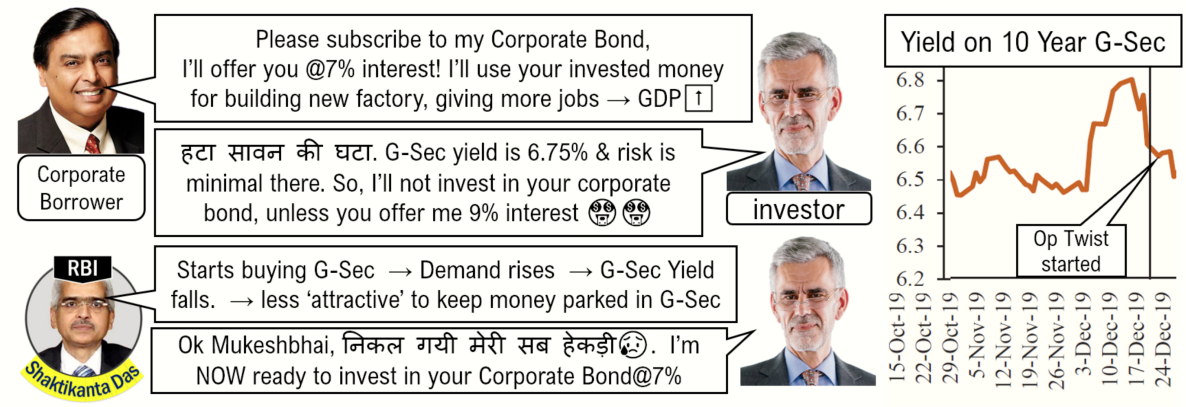


Figure 5: figures are only for illustration. No need to memorize numbers.

12.19.8 RBI's Operation Twist: methodology (2019-Dec)

Since RBI's existing monetary policy tools had failed to make loans cheaper for corporates / boost the economy. So in 2019-Dec, RBI started a "special OMO" wherein:

⇒ Since RBI started buying long-term G-Sec, their demand will ↑ → price will ↑ → yield is ↓. The 10YearGSec's yield lowered from 6.75% to 6.60%

⇒ And we've already learned, Corporate bonds are priced (benchmarked) keeping G-sec yields in mind.

<u>So, Op Twist → Lower G-Sec yield means →</u>

✓ Cheaper borrowing for Private sector Companies. Because
  - They can borrow money by issuing their (long term) Corporate-Bonds at much cheaper interest rate than before. (निजी क्षेत्र की कंपनियों के लिए बॉन्ड जारी कर- ऋण लेना हुआ सस्ता)
  - When a private company meets a bank manager to borrow money, it can negotiate the loan price, "*If your bank does not lend me money at this cheaper interest% then I will issue my own corporate bonds.*" → Even the bank lending rates for corporate loans could be reduced.

✓ Cheaper borrowing for Government. For reasons similar to above. (How? Explained in Video)

✓ Investor of long term G-Sec will feel discouraged to hold the G-Sec till maturity (10-14 years), He will try to sell it to another party/RBI and pull out his money, then he may park ₹₹ it a Corporate Bond / Bungalow / car / Goa-vacation etc. Thus, it helps boost the consumption → economy grows.

<u>समज में आ गया हो तो बढ़िया है, नहीं तो रट्टा मारो जिंदाबाद (if not understood then memorize by Rot-learning)</u>

1. 1961: "Operation Twist" was first used by the US Federal Reserve.
2. 2019: RBI used also done it. Officially called "Special Open Market Operation (OMO) wherein the Central bank simultaneously buys and sells G-sec of varying maturities to adjust their yields. Which helps reduce interest rates on corporate bonds/debentures → easier to mobilize investment → factory expansion → jobs, GDP growth. (यह एक खास किस्म की खुले बाजार की क्रिया है, जहाँ अगल अलग मियादी की सरकारी प्रतिभूतियाँ खरीद-व-बेच कर रिजर्व बेंक उनकी उपज को कम करता है, ताकि कॉर्पोरेट कंपनिया

सस्ते ब्याज मे पैसा बाजार से हासिल कर सके, ताकि रोजगार और आर्थिक वृद्धि मे मदद मिले)

3. Objectives of Op-Twist=
    a. To make borrowing cheaper for Companies and Govt. कंपनीओ/निगमों और सरकार के लिए कर्ज सस्ता करवाना **(HOW? Ans. Explained in Video).**
    b. It was NOT MEANT For fighting inflation. महंगाई से लड़ना इसका उद्देश्य नहीं है
4. It ensures better Monetary Policy transmission for economic growth. (because, earlier, simply reducing the repo rate has not helped much in making loans cheaper, for corporates. इससे पहले रेपो दर कम करने पर भी बाजार में लोन सस्ते नहीं हो रहे थे, तो रिज़र्व बैंक ने सोचा ये ऑपरेशन ट्विस्ट नामक नया साधन आजमाते हैं)

✋🎓🚫 Beyond this, further PHD on what/why/how = poor cost:benefit for MCQs.

12.19.9 ✋🎓🔪📻: 🤑 Bond Yield & Inverted Yield Curve. We'll not prepare.

Poor cost benefit / low probability of getting asked. we'll not prepare. if they ask, then skip it.

🔠❓ **MCQ. India Government Bond Yields are influenced by which of the following? (Pre-2021)**

1. Actions of the United States Federal Reserve [अमेरिकी फेडरल रिजर्व की क्रियाओं द्वारा]
2. Actions of the Reserve Bank of India. [रिजर्व बैंक की क्रियाओं द्वारा]
3. Inflation and short-term interest rates [महंगाई और लघु अवधि के ब्याज दर]

Answer Code: a) 1 and 2 Only b) 2 Only c) 3 Only d) 1, 2 and 3

🔠❓ **MCQ. 'Open Market Operations' refers to: (Prelims-2013)**

a) borrowing by banks from the RBI b) lending by commercial banks to industry and trade
c) purchase and sale of government securities by the RBI d) None of the above

🔠❓ **MCQ. Which would result in an increase in money supply in economy? (Pre-2012)**

1. Purchase of G-Sec from the public by the Central Bank.
2. Deposit of currency in commercial banks by the public.
3. Borrowing by the government from the Central Bank.
4. Sale of government securities to the public by the Central Bank.

Answer Codes: (a) 1 only (b) 2 and 4 only (c) 1 and 3 (d) 2, 3 and 4

🔠❓ **MCQ. Which of them is/are part of Monetary Policy? (Prelims-2015)**

1) Bank rate 2) Open market operations 3) Public debt 4) Public Revenue

Answer Codes: (a) 1 only (b) 2, 3 and 4 (c) 1 and 2 (d) 1, 3 and 4

12.20🐯📢📻: 📅 MONPOLICY: QUANTI TOOLS: OMO ⟶ G-SAP

⇒ Full form: (Secondary Market) G-sec acquisition programme

⇒ Mechanism: RBI to buy G-Sec from Secondary market on specified timetable. एक निश्चित समय तालिका के हिसाब से रिज़र्व बैंक द्वितीय बाज़ार से सरकारी प्रतिभूतियां ख़रीदेगा.

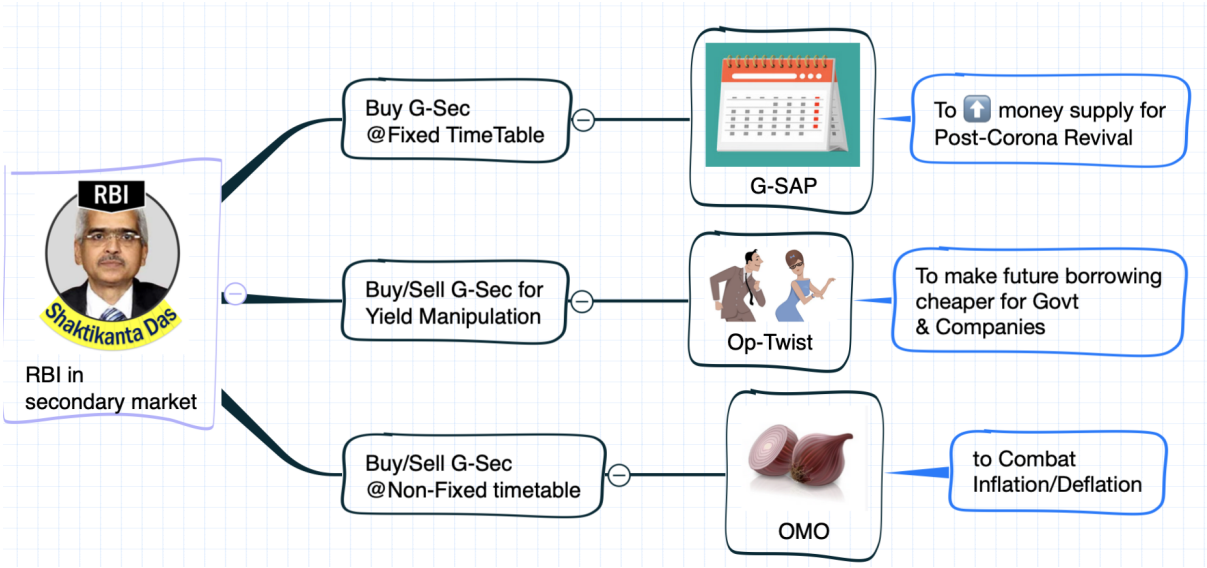
G-SAP	During these months	Total
G-SAP 1.0 (पहला चरण) ⟶	1st Quarter of 2021-22 =April to Jun 2021 (पहली तिमाही)	₹1.0 Lakh cr
G-SAP 2.0 (द्वितीय चरण) ⟶	2nd Quarter of 2021-22 = July to Sept 2021 (दूसरी तिमाही)	₹1.2 Lakh cr

12.20.1 🐯📢📻:📅 OMO ⟶ G-SAP : 🤩 Benefit?

⇒ ↑ Money supply in the economy. (अर्थतंत्र में मुद्रा आपूर्ति बढेगी)

⇒ Investors, who sold G-Sec to RBI= those investors got ₹₹ ⟶They may 1) do shopping and/or 2)

invest in other companies shares/bonds⟶ 1+2=economic growth. मुद्रा आपूर्ति में बढ़ोतरी के चलते निवेशकों के हाथ में पैसा आएगा तो वे बाज़ार से ख़रीदारी करेंगे, अन्य कम्पनियों में निवेश करेंगे⟶ देश की आर्थिक वृद्धि में मदद मिलेगी



😤**FAQ/Moral Outrage: Why G-SAP? Why not achieve this via ↓ reducing REPO ?** Ans.

⇒ Every person may not be interested in taking new bank loans. Some investors may be interested in selling their previous investments in G-Sec to unlock the money. (हर व्यक्ति बैंक से कर्ज़ लेगा ये ज़रूरी नहीं है। कुछ निवेशक अपना पुराना G-sec निवेश बेचकर पैसा बटोरना चाहते हो तो जी-सेप में आ सकते है)

⇒ if RBI ↓decreases the repo rate too much⟶ it can result in A) inflation and B) ↓decrease in the deposit interest rates offered by the bankers on savings account ⟶ middle-class and pensioners affected negatively. (रेपो दर में बहुत ज़्यादा कटौती हुई तो नई समस्याए खड़ी होंगी)

Table 2: To Sum up, OMO, GSAP, OP-TWIST (कुल मिलाकर बात ये है कि)

G-SAP	⇒ RBI is **buying** G-Sec to increase money supply ⟶ Post-corona revival. ⇒ Money amount, date&time/calendar/timetable is transparently & systematically announced in advance before starting. ⇒ इसमें पैसों की मात्रा, समय-तालिका सब कुछ पारदर्शी और व्यवस्थित रूप से, ख़रीदारी शुरुआत करने से पहले रिज़र्व बैंक प्रकाशित कर देता है।
OMO	⇒ RBI is **selling** G-Sec to control inflation. ⇒ RBI is **buying** G-Sec to fight deflation. मुद्रास्फीति(मंहगाई)/अपस्फीति(सस्ताई) से लड़ने के लिए रिज़र्व बैंक सरकारी प्रतिभूतियों को बेचेगी/खरीदेगी ⇒ Its timetable NOT announced in advance, in detailed manner, unlike G-SAP. रिज़र्व बैंक के विवेक/मनमर्ज़ी पर अनियमित समय पर ये क्रिया होती थी। समय से पूर्व, विस्तृत रूप से इसकी समय तालिका प्रकाशित नहीं की जाती थी। ⇒ OMO window is NOT discontinued. It'll continue to function as per discretion of RBI. इस खिड़की को बंद नहीं किया गया। रिज़र्व बैंक के विवेकानुसार भविष्य में भी जारी रहेगा.
Op.Twist	⇒ RBI is **Buying and Selling** of G-Sec of varying maturities ⇒ To reduce G-Sec yield ⟶ so future borrowing becomes cheaper for Government

	and Companies. (रिज़र्व बैंक द्वारा भिन्न भिन्न अवधि/मियादी की सरकारी प्रतिभूतियों को खरीदना और बेचना ताकि यील्ड कम हो सके ताकि भविष्य में सरकार तथा कंपनियों के लिए कर्जा लेना सस्ता हो सके।)

12.21 MONETARY POLICY: QUALITATIVE TOOLS (गुणात्मक साधन)

Quantitative tools (SLR,CRR,Repo etc.) control 'volume' of loans. मात्रात्मक साधन कर्जे की मात्रा तय करते हैं

⇒ Whereas, qualitative tools (PSL,LTV etc.) control "distribution" of loans to a particular sector of economy. गुणात्मक साधन कर्जे के वितरण को तय करते हैं

- e.g. how much loan to a particular sector e.g. agriculture, renewable energy.
- how much loan to a particular segment of society (e.g. farmers, women, SC/ST).
- So, qualitative tools also known as **SELECTIVE** (चयनात्मक) or **DIRECT** (प्रत्यक्ष) Tools.

12.21.1 Moral Suasion (नैतिक दबाव / सलाह) & Publicity (प्रचार)

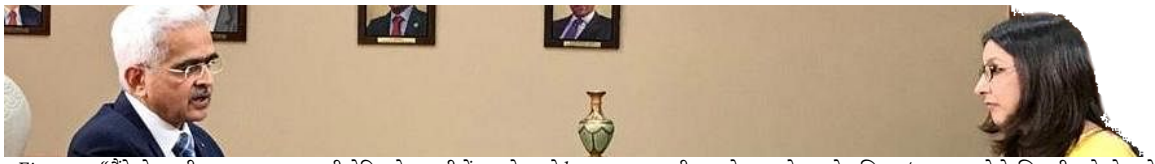


Figure 3: "मैंने तो अपनी repo-दर कम कर दी लेकिन ये लालची बेंक वाले अपने loan-दर कम नही कर रहे , कम से कम मेरा लिहाज/सम्मान रखने के लिए भी उन्हे थोड़ा तो सस्ता करना चाहिए।" - RBI Governor

- Moral suasion meaning applying "Persuasion" without applying punitive measures. RBI governor tries this tactic via conferences, informal meetings, letters, seminars etc
- E.g. RBI-Governor asking banks to transmit repo-rate cuts, open new branches in rural areas, spread financial literacy, give loans to farmers beyond PSL quota etc.
- E.g. RBI Governor requesting CM or Finance Minister to control fiscal deficit & subsidy leakage to enhance the efficacy (प्रभावकारिता) of RBI's monetary policy.
- **Publicity:** RBI governor could give media statement, speech during university convocation (दीक्षांत पदवीदान समारोह), memorial lectures… *"Look I reduced repo rate but banks are not passing the benefit to customers…and xyz"*. By doing so, he can create an effective public opinion which also pressurizes the banks to stop their thuggery.

12.21.2 Direct Action (सीधी कार्यवाही: क्योकि लातो के भुत बातो से नहीं मानते)

- RBI can punish banks (and even non-banks) for not complying with its directives under RBI Act, Banking Regulation Act, Payment and Settlement Systems Act, Prevention of Money Laundering Act (PMLA), Foreign Exchange Management Act (FEMA). रिजर्व बैंक के दिशा निर्देशों का पालन न करने पर विभिन्न कानूनों में सजा/दंड
- 2019: RBI ordered the banks to have a "Clawback" provision in their CEO & Top executives' salaries. E.g. If the CEO did any scam/fraud, he'll have to return his previously paid salary / bonus, even if he had retired/left the job afterwards. (किसी बैंक का सीईओ कांड में पकड़ा गया तो उस सीईओने पुरानी तनख्वाह भी लौटानी होगी.)

12.21.3 Margin Requirements / Loan to Value (LTV) (सीमा अनिवार्यता)

- RBI can mandate Loan to Value (LTV) for a gold-loan, home loan, auto loan or business loan etc. so a Bank/NBFC can't lend more than x% of the value of the collaterals.

- RBI can change this x% to boost / curb demand. (गिरवे रखी चीज के मूल्य के सामने बेंक या गैर-बेंक संस्थान व्यक्ति को कितना कर्ज दे सकते है? रिजर्व बेंक उसके मानदंड में बदलाव द्वारा, बाजार में चीज-वस्तुओ की मांग को बढ़ा या कम कर सकता है)

LTV reforms	Before	😷 Corona-2020 to 2021-Mar	From 2021-Apr
Gold Loan	75% value of gold/gold-jewellary	Increased to 90% to revive economy	Reduced to 75%

12.21.4 💍 Gold loan rules upto ₹2.50 lakh - RBI vs FinMin & Tamilnadu CM (2025)

Before	2025-Reform
LTV @ 75%	For gold loan upto ₹2.5 lakh → LTV raised from 75% to 85%
RBI proposed that borrower must submit gold ownership receipts before pledging his/her gold for loans.	Tamil Nadu CM complained that many poor families lack ownership receipts for ancestral jewellery, so FinMin advised RBI to relax the requirement. Consequently, RBI allowed self-declaration for gold loans up to ₹2.5 lakh.(स्व प्रमाणित करके लिख दो कि ये मेरा गहना है तो बैंकर उस गहने के सामने लोन देते वक्त कोई मालिकी की रसीद नहीं मागेगा।)

12.21.5 🔪🐂🐻 Bank Loans for Shares-Bonds: RBI relaxes (2025–2025)

Bank Loans	Before (Max)	After (Max)
Loan to individuals by pledging his bonds-investment as collateral	some max. limit	Ceiling removed (no limit)
Loan to individuals by pledging his shares-investment as collateral	₹20 lakh	₹1 crore
Loan to individual to buy shares in primary market (=IPO)	₹10 lakh	₹25 lakh
Loans to buy shares in secondary market	Disallowed	Still disallowed. (only primary market/IPOs allowed)

🤷‍♀️**FAQ: Do I've to remember exact limits?** Ans. Not for IAS but u've to remember ke RBI can influence public's investment in sharemarket with such rules.

12.21.6 🔪🌐 Bank loans to Neighbouring countries : RBI relaxes (2025)

Bank Loans	Before	After 2025-reform
Indian Bankers' loans in rupee currency to persons resident in Bhutan, Nepal, and Sri Lanka.	Not allowed or rules were unclear.	Indian bankers can give loans in rupee currency to them, to facilitate cross border trade (=import/export) .

12.21.7 Selective Credit Control (चयनात्मक ऋण नियंत्रण)

😰In a negative / restrictive direction (नकारात्मक)	🤩In a positive direction (सकारात्मक दिशा में)
- **Credit Rationing** System: English (in 18th century) and USSR (till 1990s)– their central bank will not give more than "X" amount as loan to individual banks. And an individual can't get more than prescribed amount of loans for each category (housing, education, business). (एक व्यक्ति को इससे ज्यादा कर्जा नहीं मिलेगा) - **1960s:** Credit Authorization Scheme (CAS) in India: all commercial banks had to obtain prior approval of the RBI before loaning ₹ 1 crore/> to a single borrower. - **1970s**: RBI imposed quantitative ceiling on non-food loans to boost green revolution, food inflation. 😰But such measures failed due to lax monitoring and loopholes. (शिथिल निगरानी के चलते, बेअसर रहे ये साधन)	- 🚗 **Consumer credit control** e.g. During deflation / recession, RBI can relax the down payment / EMI installment norms for durables like Vehicles, TV, Fridge etc. to boost consumption and demand. - Priority Sector Lending <see below> प्राथमिक क्षेत्र के ऋण मानक

12.22 🐯📢🌽 Priority Sector Lending (PSL: प्राथमिकता क्षेत्र के लिए ऋण मानक)

Figure 4: थोड़ा लोन हमको भी दिलवा दो Governor-sahib, हम बहोत गरीब है!

- 1968: First time RBI used the word "priority sector": Banks must give 40% of their loans to 3 priority sectors 1) agriculture 2) small industries 3) exporters by 1985. (कृषि छोटे उद्योग और निर्यातक)
- Over the years, more sectors were included in it. (समय के साथ साथ और भी क्षेत्रों को इसमें शामिल किया गया)
- 2015: some reforms in PSL. → 2020 again RBI reformed PSL (निम्न सुधार किए गए)

Priority Sector Loans norms → minimum quota after 2020-Sept Reforms	BEFORE	AFTER
👩 Weaker Sections (कुल लोन का कम से कम 12% जाना चाहिए कमजोर वर्ग को): ⇒ SC, ST, Women, PH, Minorities, Manual scavengers, Artisans, ⇒ PM-Jan DhanYojana Overdrafts upto Rs.10,000 ⇒ Beneficiaries of Govt's National Rural/Urban Livelihood Mission Schemes (NRLM/NULM: More in 📄Pill#6: HRD →Poverty Removal Schemes)	10 %	↑12%*
🌽 Agriculture (कृषि) (all farmers: small and big)	10%	8%
🌽 Agriculture: सीमांत किसान और छोटे किसान ⇒ Marginal Farmer (owns upto 1hectre land) सीमांत किसान	8 %	↑10%*

Priority Sector Loans norms → minimum quota after 2020-Sept Reforms	BEFORE	AFTER
⇒ Small farmer (>1 upto 2ht) छोटे किसान		
🧵 Micro Enterprises (अति लघु उद्योग), Khadi-Village industries	7.50%	7.50%
Above categories (Weaker section, agriculture, micro-enterprise) plus, other categories such as ⇒ Small & Medium Enterprises, Affordable housing loans to beneficiaries under Pradhan Mantri Awas Yojana ⇒ food processing companies, Vermi compost, biofertilizer, seed production, ⇒ Exporters, Student-Education loans (upto Rs.10lakh), ⇒ Social Infrastructure (schools,drinking water, sanitation facilities, health care, COVID related hospitals/labs etc); ⇒ Renewable Energy Projects (wind mills, biomass generators, solar street light, micro-hydel plants etc.) etc. (नवीकरणीय ऊर्जा परियोजनाएं)	4.50%	2.50%
Total PSL for Indian Scheduled Commercial Banks and (Foreign Banks with 20 or more branches).	**40%**	**40%**

* Above quota reforms to be implemented in Phase-Wise by 2023-24. (क्रमिक रूप से नए सुधार होंगे)

😃Benefit? It will ↑ loan-availability for the weaker section and small farmers thus helping in the United Nations' Sustainable Development Goals related to poverty removal. (📄Ref: HDT-Pillar#6) कमजोर वर्ग और छोटे किसानों को ज्यादा मात्रा में कर्जा मिल पाएगा. गरीबी निवारण, संयुक्त राष्ट्र के सतत विकास लक्ष्यों की प्राप्ति में मदद.

- PSL quotas are 'minimum (न्यूनतम/कम से कम)' & not maximum. So, if bank wishes, it can EVEN give even 60% of its loans to weaker sections, instead of just 12% "minimum quota" meant for weaker section.
- Bank's Loans given to Non-Banking Financial Company (NBFC) who are lending to above PSL categories = such 'indirect loan' to PSL sectors will also be counted for bank's quota.
- Bank + NBFC's joint lending / co-lending/ co-origination loans – what does it mean? #PHD-NOT-IMP. (बेंक और गेर-बेंक का साथ मे मिलकर पीएसएल क्षेत्र को कर्ज दिया, तो उसमे बेंक ने दिया कर्ज इस क्वोटे में गिन लिया जाता है, कुछ शर्तों के आधीन)
- NOTE: PSL Norms donot apply to NBFCs. PSL Norms apply ONLY to Bankers.

12.22.1 🐯📣🌽 PSL Reforms-2020: on RRB/SFB/UCB?

What is the difference/meaning of SCB/RRB/SFB/UCB etc? Ans: (📄Ref: HDT-Pillar#1B1:)

Table 3: need not memorize for IAS Exam, but Memorize for RBI /Bank Exams

Type of Bank & PSL Reforms-2020:	Before	After
Indian Scheduled Commercial Banks (SCB: अनुसूचित वाणिज्यिक बैंक) and Foreign Banks in India with 20 or more branches	40%	same 40%
Foreign Bank in India with <20 branches (विदेशी बैंक)	40%	same 40%
Regional Rural Banks (RRB: क्षेत्रीय ग्रामीण बैंक)	75%	same 75%
Small Finance Banks (SFB: लघु वित्त बैंक)	75%	60% (in 2025)

Type of Bank & PSL Reforms-2020:	Before	After
Urban Cooperative Banks (UCB: शहरी सहकारी बैंक)*	40%	↑75%
Rural Cooperative Banks (ग्रामीण सहकारी बैंक)	N/A	N/A

⇒ These quotas implemented in a gradual/phase-wise manner by 2025-26.(Separate Deadline for different-different types of bank. Exact dates NOT.IMP.)

⇒ Internal quotas may be different for these Banks e.g. RRBs: Weaker section =15%. But, poor cost-benefit in chasing all that information. # ⏳📚थोड़ा-पढ़ो-आगे-बढ़ो

12.22.2 🐯📢🌾 PSL Reforms-2020: Weightage to poor districts (गरीब/पिछड़े जिलों को भारांक)

RBI will classify the districts based on previous PSL loans given by all banks. Then RBI will encourage banks to give PSL-loans to backward districts. This will help in more balanced regional development. (क्षेत्रीय रूप से संतुलित विकास में यह कदम फायदेमंद होगा.) **How? Watch video.**

🔠❓ **MCQ. Priority Sector Lending by banks in India constitutes loans to _ _ _ _ . (Pre-2013)**

a) Agriculture b) Micro and Small Enterprises c) Weaker Sections d) All of the above

12.22.3 🐯👩🌾🏗️PSL Shortfalls: RIDF and UIDF

⇒ If a bank can't fullfill its PSL-quotas then such Underachiever bank will have to deposit PSL-shortfall money to NABARD's Rural Infrastructure Development Fund (RIDF), or other funds under SIDBI, National Housing Bank (NHB), MUDRA Ltd. etc as per the norms decided by RBI from time to time. (लक्ष्यंकों को हासिल नहीं कर पाने वाली बैंक ने आरबीआई द्वारा चिन्हित अलग-अलग संस्थाओं में पैसा निवेश करना पड़ेगा)

⇒ Underachiever bank will earn interest from such deposited money, but it'll be (usually) linked with Bank-Rate & their money will be locked-in a long-term project. (पैसा लंबे समय तक अटक जाएगा)

⇒ 👛Budget-2023: announced setting up one more such fund called UIDF

	Rural Infrastructure Development Fund (RIDF)	Urban Infrastructure Development Fund (UIDF: शहरी बुनियादी अवसंरचना विकास निधि)
When?	1995–96	2023-Budget
Where?	under NABARD- National Bank for Agriculture and Rural Development.	under National Housing Bank (NHB)
for What?	for Agriculture, Social sector and Rural connectivity projects.	for urban infra projects especially in ✓ **Tier-2** cities (population from 50,000 to 99,999) and **Tier-3** cities (pop from

		20,000 to 49,999).

12.22.4 Priority Sector Lending Certificates (PSLC) from 2016 onwards

Figure 5: भाई आमिर/Rancho हमने अपना assignment नही किया, तू अपना "EXTRA-walla" हमे बेच दे! (img source-3 idiots movie)

- In this arrangement, the overachieving Banks can sell their excess PSL in form of 'certificates' to underachieving banks. (लक्ष्यंकों से ज्यादा उपलब्धि हांसील करने वाली बैंक, अन्य जरूरतमंद बेंक को सर्टिफिकेट बेचती)
- If an underachiever bank can't fulfil its PSL-quota through PSL-certificates purchase then ultimately, it'll have to deposit PSL-shortfall money to RIDF, UIDF etc funds, as explained in the previous section.

Which of the following is not an instrument of Selective Credit Control? (*Pre-1995*)

a) Regulation of consumer credit b) Rationing of credit c) Margin requirements d) CRR

An increase in the Bank Rate generally indicates that _ _ _ (Pre-2013)

(a) Loan interest is likely to fall. (b) RBI is no longer making loans to commercial banks.

(c) RBI is following easy money policy. d) Central Bank is following tight money policy.

MCQ. Find Correct Statements: (Prelims-2022)

1. If the inflation is too high, Reserve Bank of India (RBI) is likely to buy government securities.
2. If the rupee is rapidly depreciating, RBI is likely to sell dollars in the market.
3. If interest rates in the USA or EUwere to fall, that is likely to induce RBI to buy dollars.

Codes: (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

MCQ. Which would lead to contraction of money supply in the economy? (CDS-2023-II)

1. Purchase of Treasury Bills by the central bank from public

2. Sale of Treasury Bills by the central bank to public

3. Sale of foreign exchange by the central bank 4. Purchase of foreign exchange by the central bank

Codes: (a) 1 and 4 only. (b) 1 and 3 only (c) 2 and 3 only (d) 2 only

If RBI adopts an expansionist monetary policy, which would it not do ? (Pre-2020)

(1) Cut and optimize the SLR (2) Increase MSF (3) Cut the Bank Rate and Repo Rate

Answer Codes: [a) 1 and 2 only [b) 2 only [c) 1 and 3 only [d) 1, 2 and 3

MCQ. With reference to inflation in India, find correct statement: (Prelims-2015)

a) Controlling the inflation in India is the responsibility of the Government of India only

b) The Reserve Bank of India has no role in controlling the inflation

c) Decreased money circulation helps in controlling the inflation

d) Increased money circulation helps in controlling the inflation

MCQ. Who is responsible for controlling inflation ? (Pre-2022)

(a) Department of Consumer Affairs (b) Expenditure Management Commission

(c) Financial Stability and Development Council (d) Reserve Bank of India

12.23 MONETARY POLICY TOOLS: A READY RECKONER TABLE

Table 4: समज में आ गया हो तो बढ़िया है, नहीं तो रट्टा मारो जिंदाबाद (If understood then well & good, else memorize by Rot-Learning)

Tools & Strategy?		<2%CPI= Fight deflation (अपस्फीति)	>6%CPI= Fight Inflation (मुद्रास्फीति)
- **Deflation**: ↑ money supply, inject liquidity=> make loans cheaper, ↑ consumption - **Inflation**: Do reverse		Easy, Cheap, Dovish, Expansionary policy. आसान-सस्ता व्याजदरे, विस्तारवादी	Tight, Dear, Hawkish, Contractionary तंग- मँहगी व्याजदरे, संकुचनवादी
Quantitative	**Reserves: CRR, SLR**	↓ (Decrease)	↑ **(increase)**
	Key Rates (Repo, MSF, Bank Rate)	↓ (Decrease)	↑ **(increase)** महंगाई से लड़ना है तो रेपो दर बढ़ा दो
	Reverse Repo, SDF	↓ (Decrease) – so banks feel less motivation to park ₹ in RBI & they become more proactive to give loans to people → ↑demand → deflation fought	↑ **(increase) :** so banks feel more motivation to park ₹ in RBI → ↓loanable funds to people → ↑loan interest rate → ↓demand → inflation fought
	Market Ops (OMO)	OMO: RBI Buys G-Sec from market.	OMO: RBI Sells G-Sec
Qualitative Tools	**Moral Suasion / Direct Action**	Nudge / Force the banks to enforce Dovish Policy	Enforce the Hawkish policy
	Margin Requirement / Loan to Value (LTV)	Increase e.g. Gold-LTV: 60% → 90%	Do reverse of left cell.
	Selective Credit Control / Priority Sector Lending (PSL)	↑ loan-flow to sectors that can generate employment e.g. textile →workers buying more →demand /consumption increased →deflation fought. लोन का बहाव कुछ ऐसे क्षेत्रो में करो कि रोजगार निर्माण हो और वह सब मजदूर खरीदारी करें ताकि अर्थतंत्र में मांग बढे	- ↓the loan-flow to sectors where speculative investment is leading to demand-side inflation e.g. real estate & housing. - ↑loan-flow to sectors where loans can ↑supply e.g. onion farmers.

MCQs usually confined to how can CRR,SLR,Repo & OMO be used for inflation / deflation control. For rest of the tools you need not waste time thinking 500-jaat-ke-combinations and Birbal-Khichdi.

12.24 Monetary Policy in Present-Day India

There are 3 strategies / ways of making a monetary policy: (तीन तरीके से मौद्रिक नीती बनाई जा सकती है)

1. **Exchange rate stability** (विनिमय दर स्थिरता)**:** Singapore & other export-oriented nations try to keep their local currency at certain rate against US-dollar to boost exports. (How?Ans Pillar#3)
2. **Multiple Indicators** (एकाधिक संकेतक)**:** Central Bank tries to focus on Economic Growth, Employment, Inflation Control and Exchange rate stabilization. India's RBI followed this strategy upto 2016.
3. **Flexible Inflation Targeting (FIT) / Price Stability** (मुद्रास्फीति लक्ष्यीकरण)**:** Central Bank only aims to keep inflation controlled, THEN other indicators (growth, employment, exchange rate) will automatically fall in line. Model successful in Western nations → RBI's **Urjit Patel Committee Report (2013-14)** recommended it for India → adopted from 2016-October, by amending RBI Act Section 45. (2016 में रिज़र्व बैंक के कानून में संशोधन कर भारत ने यह रणनीति/तरीका अपनाया है)

12.24.1 Monetary Policy Making under RBI Act since 2016

Table 5: composition of the statutory Monetary Policy Committee (MPC: वैधानिक मौद्रिक नीति समिति):

RBI side (3 members)	Govt. Side (3 members)
1. RBI Governor, as the Ex-officio Chairman. 2. Dy.Governor responsible for Monetary Policy. Michael Patra (from 2020-Jan). 3. One person nominated by RBI Central Board: Mridul Saggar (Executive Director, RBI).	1. Ram Singh, 2. Saugata Bhattacharya 3. Nagesh Kumar (these new members came in 2024)
Their **tenure** tied with their ex-officio job tenure (पदेन कार्यकाल) E.g. IAS Shaktikanta's *shakti* (powers) gone after IAS Sanjay Malhotra replaced him in 2024-Dec.	**Tenure**: 4 years, no re-appointment. (4 साल का कार्यकाल और उसके बाद पुन:नियुक्ति असंभव)
RBI Governor & Dy.Gov are selected by Financial Sector Regulatory Appointment Search Committee (FSRASC) is headed by Cabinet Secretary (IAS)	They're selected by Search-cum-Selection Committee headed by Cabinet Secretary (IAS)

- Meeting quorum 4 persons, incl. Governor. (कार्यसाधक संख्या: कम से कम चार लोगों की हाजरी जरूरी)
- Legally required to hold min. 4 meetings in a year. (सालाना कम से कम 4 बार मिलना जरूरी)
- In practice, they meet every two months to decide bi-monthly monetary policy updates. (Although during Corona-lockdown met more frequently).
- Repo=Policy rate= benchmark interest rate: decided by Majority vote. (मौद्रिक नीति दर बहुमत से तय)
- When they vote for the first time, all members, including the Governor, will vote. If tie → Governor can vote again for second time as casting vote (यदि मतों में बराबरी हुई, तो गुत्थी सुलझाने के लिए निर्णायक मत गवर्नर देंगे).

- To ensure **transparency / accountability** (पारदर्शिता / जवाबदेही):
- Govt can send message only in writing. (सरकार केवल लिखित में संदेश भेज सकती है)
- Committee must publish its minutes of the meeting on the 14th day, and "Monetary Policy report" at every 6 months.(नियत समय पर कुछ दस्तावेज प्रकाशित करने होंगे)
- 🎯 **Inflation target** decided by Union Government, after consulting with RBI Governor. (गवर्नर से विमर्श करने के बाद महंगाई नियंत्रण का लक्ष्य सरकार तय करेगी)
- 🎯 **Present target**: Keep Consumer Price Index (CPI:All India) within 2-6%.[alternate way of saying= 4% +/- spread of 2%] (More about CPI/Inflation in 📄Pillar#4C)
- 📅 Target was Valid for: Originally from 2016-2020 (ending at 31/03/2021). Now same target extended till 31/3/2026.
- 😨**Target fail:** if inflation not kept in this 2-6% zone for 3 consecutive quarters (=9 months) then Committee must send report to Govt with reasons and remedies (यदि सतत नौ महीनों तक महंगाई इन सीमाओं के बाहर रही तो समिति की असफलता मानी जाएगी ⟶ असफलता की रिपोर्ट रिज़र्व बैंक ने सरकार को भेजनी होगी).
- **2022-Nov:** the inflation has remained more than 6% for more than 9 months continuously so now the MPC committee drafting a report to Govt. But it is not released public domain yet.

🔠❓ **MCQ. Find correct statements about Monetary Policy Committee: (Prelims-2017)**

1) It decides RBI's benchmark interest rates.
2) It is a 12-member body including the Governor of RBI and is reconstituted every year.
3) It functions under the chairmanship of the Union Finance Minister.

Codes: (a) 1 only (b) 1 and 2 only (c) 3 only (d) 2 and 3 only

🔠❓ **MCQ. Statement I: In India, Central Government determines the inflation target, in consultation with RBI, in terms of Consumer Price Index once in five years. (EPFO-2023)**

Statement II: At present, the Monetary Policy framework is operated by Central Govt.

- a) Both I and II are correct and statement II in the correct explanation for statement I
- b) Both I and II are correct and statement II is not the correct explanation for statement I
- c) Statement I is right but II is wrong - d) Statement I is incorrect but statement II is correct

12.24.2 🚕🕹️ Stance: Calibrated Tightening / Neutral / Accommodative / Withdrawl

After every meeting, RBI MPC will announce its stance i.e. What they'll do with Repo Rate in the next Meeting. (भविष्य की मीटिंग में रेपो दर के साथ क्या किया जाएगा, इसका इशारा/ संकेत दिया जाता है)

Stance= what RBI will do in next meeting	Will they hike/increase ↑repo?	Will they cut/decrease ↓Repo?	Will they hold/keep repo unchanged?
Calibrated Tightening	✅ Possible	✋No they'll not cut	✅ Possible
Neutral	✅ Possible	✅ Possible	✅ Possible
Accommodative	✋No they'll not hike	✅ Possible	✅ Possible

⇒ This provides guidance to the investors/borrowers/bankers about future action of RBI.

⇒ However, RBI MPC is not legally bound to follow the stance. E.g. Dec-2018 Governor Urjit-Patel

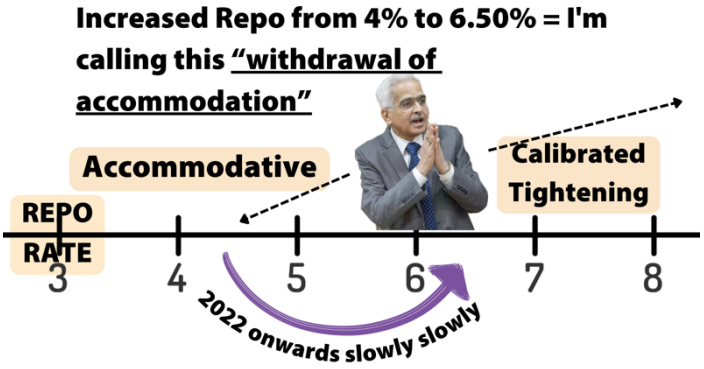
led MPC announced Calibrated Tightening, yet in next meeting Feb-2019 Governor Shaktikanta led MPC decreased ↓ repo rate, because they felt it was necessary to combat deflation. (कानून रूप से बाध्य नहीं. कभी कभी समिति इसका उल्लंघन भी कर देती है)

🔠 **MCQ. Find correct about neutral monetary policy stance of the RBI (GPSC'25)**

1. A neutral stance suggests that the RBI can either cut repo rate or increase it.

2. This stance is typically adopted when the policy priority is equal on both inflation and growth.

Codes: (A) 1 only (B) 2 only (C) Both 1 and 2 (D) Neither 1 nor 2



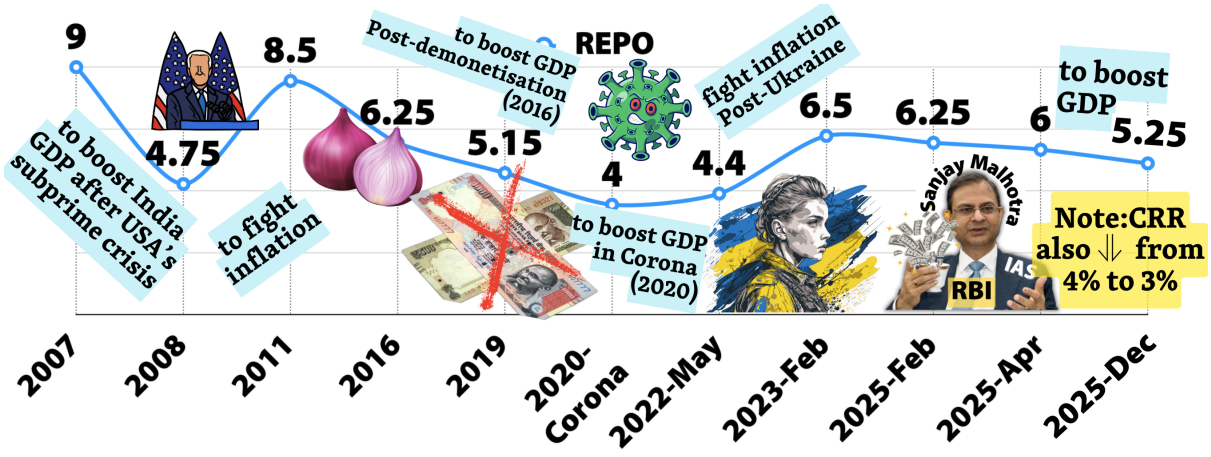
Time	Comment
2022-24	"Withdrawal of accommodation"
2024-Oct	Shifted to Neutral
2025-Apr	Shifted to Accomodative
2025-Jun, Oct	Shifted to neutral. Bcoz from 2025 Feb to June, we've already cut repo rate enough. We cannot reduce repo rate any further easily, ELSE loans will get too cheap, it will complicate inflation control and affect NIM (net interest margin) of bankers. So repo unchanged at 5.50%. 2025-Oct- unchanged at 5.50%
2025-Dec	• Repo cut to 5.25%. Thus, SDF@5%, MSF@5.50%. Stance Neutral. • Reason: inflation is under control, so better we boost GDP via cheap loans. • **FAQ: isn't this reason contradictory to 2025-Jun cell?** Ans. I've copy-pasted their official statements. Just tick MCQ as per options. • RBI to conduct OMO purchases of G-Sec of ₹1,00,000 crore to make loans even more cheaper and improve liquidity in the system. • Bank Rate : 5.50% Fixed Reverse Repo Rate: 3.35% [Their values are not linked with Repo formula. So they remain unchanged, even if repo gets changed.]
2026-Feb, Apr, June	No change. Repo@5.25%. Thus, SDF@5%, MSF@5.50%. Stance Neutral.

12.24.3 🐯🤧📣Governor's regulatory announcements are separate from MPC.

- Monetary Policy Committee (MPC) decides only Repo rate. Nothing else.
- Other decisions, such as CRR-SLR cut, PSL norms, banning magnetic-chip cards etc are decided

separately alone by RBI Governor. The committee doesn't play role in it.

12.25 RBI's Monetary Policies Trend (2007-2025-Dec)



Note: in the above graph- as of **Jul-2026 – repo is still un-changed @5.25%**

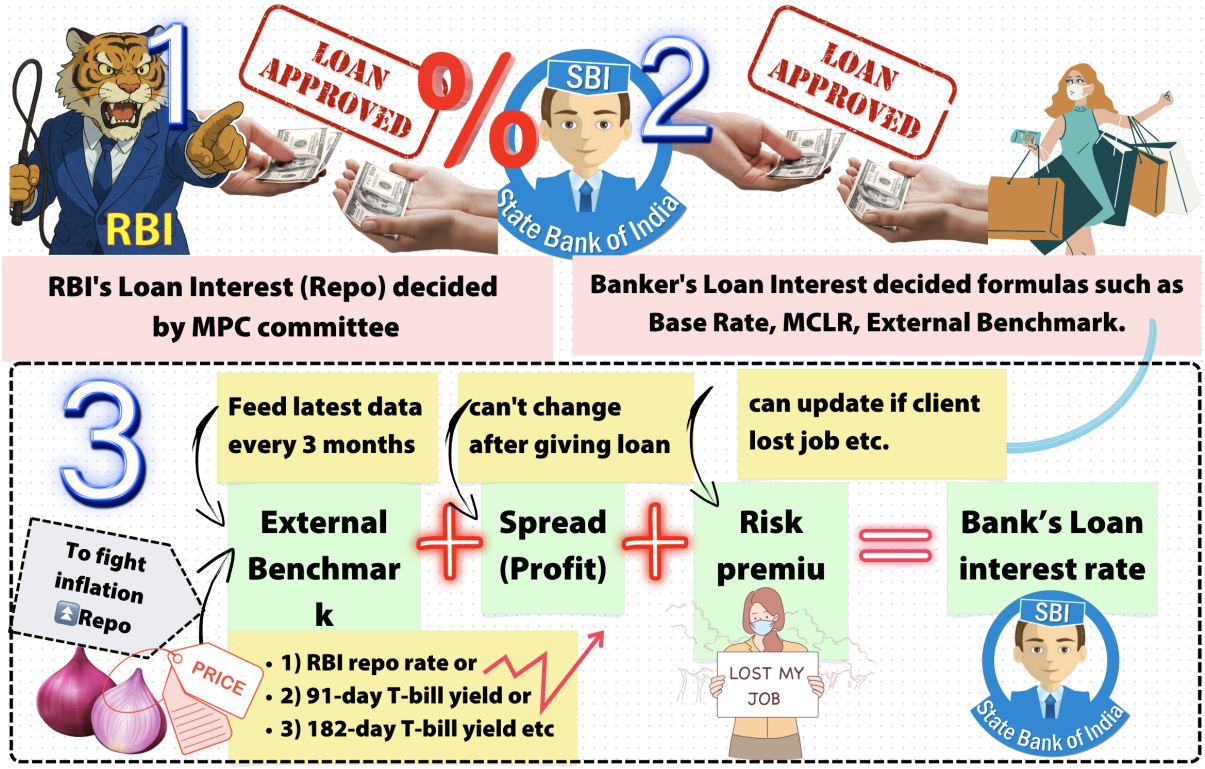
12.26 Banks' Lending Rates % (बैंक ऋण की व्याज दरें)

RBI's 6-member statutory MPC decides policy rate (=repo rate) to keep inflation within 2-6%CPI (All India) but who decides lending rates of individual banks, & how? Ans:

1969	Govt began nationalization of private banks, and '**administered** interest rates' (प्रशासित ब्याज दरें) on them i.e. Govt would decide how much loan interest rate the banks should charge on borrowers?
1991	M.Narsimham suggested deregulation: Govt should not dictate / administer individual banks' interest rates. RBI should only give methodology to banks. (सरकार ने अपने मनमाने ब्याज दर थोपने नहीं चाहिए)
2003	RBI introduced Benchmark Prime Lending Rate (BPLR) system
2010	- RBI introduced formula "BASE Rate + formula = bank's loan interest rate"; - update **frequency** on individual banks' **discretion (अपनी मर्जी/ विवेकाधीन)**. So, it did not help transmission of monetary policy much. - So, Even If RBI reduced repo rate, the banks would not update their formula figures regularly. रिजर्व बैंक ने अपनी रिपो दर कम करी किंतु बैंकोने लोन सस्ते नहीं किए😰
2016	⇒ RBI introduced formula "Marginal Cost of Funds based Lending Rate (MCLR) + Spread" system. (how exactly it worked? Outdated info. NOT IMP) ⇒ 😰Limitation? From January to Oct 2019, RBI ↓ repo rate by 1.35% but banks reduced their loan interest rates by merely 0.40%. ⇒ Thus, even though RBI reduced its repo rate, banks are not quickly reducing their loan interest rates. So MCLR system was ineffective. (रिजर्व बैंक ने अपनी रिपो दर कम करी किंतु बैंकोने लोन सस्ते नहीं किए, इसलिए ये प्रणाली प्रभावी नहीं) ⇒ Note: MCLR is not illegal / discontinued YET. e.g. if client had taken a 30 years home-loan in 2016, then MCLR continues for him in 2026 also.
2019	⇒ MCLR didn't deliver result as per RBI's expectation so RBI launched External

	Benchmark formula.
2026	⇒ UPSC asked above chronology in CAPF MCQ. So Lengthy HDT justified.

12.27 BANK'S LOAN INTEREST RATE: EXTERNAL BENCHMARK (बाहरी बेंचमार्क)



External Benchmark + Spread(Profit) + Risk premium = Bank's Loan interest rate.

12.27.1 External Benchmark: Formula Components:

Individual bank free to pick any one External Benchmark such as

- (1) RBI repo rate or 91-day T-bill yield or (2) 182-day T-bill yield or
- (3) any other benchmarks by an organization named Financial Benchmarks India Ltd.

⇒ Banks must feed the latest data of external benchmark in above formula, atleast once **every three months**. (हर 3 महीनों पर फार्मूला में नए आंकड़े डालने होंगे)

⇒ So both fresh and old/existing borrowers will benefit (e.g.if repo rate decreased).. तो मान लीजिए रेपो दर सस्ती हुई होगी ⟶ नए और पुराने लोन ग्राहकों को उस सस्ते ब्याजदर का फायदा मिल जाएगा)

12.27.2 External Benchmark system: Which borrowers eligible?

1. Personal loans (taken for any sudden emergency expenditure)
2. Retails loans (home, vehicle, electronics etc)
3. Loans to micro & small enterprises
4. Loans medium enterprises (this 4th category is to be added from 2020).
5. It is applicable to old/previous loans in above categories, if borrower fills the application form.

External Benchmark Benefits? = Better/faster transmission of Monetary Policy; transparency & accountability to borrowers. (मौद्रिक नीति का प्रभावी प्रसार में, लोन ग्राहकों के प्रति पारदर्शिता और जवाब देही)

12.27.3 External Benchmark system: FAQ

⇒ FAQ: Can existing existing/old borrowers benefit? Answer is within the handout if you read it carefully.

⇒ FAQ: Can bank change external benchmark indicator after giving loan? Ans. Watch Video

⇒ FAQ: Can bank change the spread(Profit) in the formula after giving loan to a client? Ans. Not allowed to change. (and this is not imp for exam)

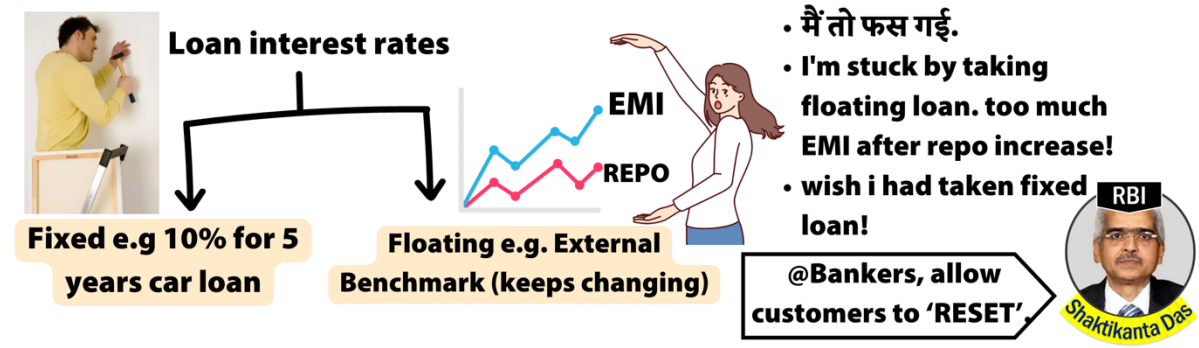
⇒ FAQ: Can bank change the "Risk Premium" in the formula after giving loan to a client? Ans. Yes e.g. Govt employee thrown out of job after getting loan, then banker may ↑ the risk premium on him because now he's jobless so the risk probability of his loan default ↑. (and this is not imp for exam)

12.27.4 Interest Rate Reset of EMI based Floating Interest Loans

- Between 2020 to 2023, the repo rate increased from 4% to 6.50% - consequently the EMI burden increased for the external benchmark rate based loans.

So, RBI wants bankers to give option to borrower after every change in such floating interest loans:

- A) Ability to **RESET** i.e. switch from floating (external) rate to fixed rate loans.
- B) **Foreclosure** of loan. Meaning, full repayment of your remaining loan amount in one single payment instead of paying multiple EMIs. Benefit? LESS burden of compound interest (byaaj-pe-byaaj) in monthly instalments.



FAQ: Will this not be misused by the borrower IF he RESETS his fixed/floating loan every time it becomes unfavourable to him after change in REPO?

Ans. There will be max. limits on how many times 'reset' can be done throughout the loan period.

12.27.5 Loan repayment: Bullet repayment vs EMI

Type	Equated Monthly Instalment (EMI)	Bullet repayment
Principal & Interest Repaid in	in Monthly basis pe installments	in a single instalment, at the end of a loan tenure.

12.27.6 Banks' Loan Rates % → Fixed vs Floating interest loans, teaser loans, NPA etc.

Refer to Pillar1B-2: burning issues → NPA

12.27.7 Relationship between deposit rate and repo rate

Normally, if RBI increases repo, then eventually banker forced to increase deposit interest rates. Although, it is not legally required.

MCQ. Which of the following indicators is/are used to observe the monetary transmission mechanism in the economy? (CDS-24-i)

1. Weighted average lending rate
2. Weighted average domestic term deposit rate
3. 1-year median MCLR
4. SDF rate

Codes: (a) 1 and 2 only (b) 1, 2 and 3 (c) 3 and 4 (d) 4 only

Hint: in simple terms, we want to check if deposit/lending rates changed or not, after change in RBI's repo etc tool? So st1 and st3 will help. Eliminate options accordingly.

12.27.8 Weighted average lending rate

definition /formula not imp for exam but since some people will eat my brain so e.g. If banker gave bike loan of ₹1 lakh for 15% and a home loan of 20 lakh at 8% then what is the average loan rate? Learn from CSAT 'weighed average' topic classes.

12.28 Limitations of Monetary Policy in India (मौद्रिक नीती की मर्यादाए)

Figure 6: मै काम तो कर रहा हूँ, लेकिन उसकी सकारात्मक असर, अर्थव्यवस्था पर दिख नही रही।

Even though monetary policy updated is every 2 months, its efficacy in controlling inflation & boosting growth is restricted by following factors: (मौद्रिक-नीति मंहगाई-नियंत्रण और आर्थिक वृध्धीमे असरकारकता नही दिखा पायी क्योंकि:)

1) Western countries' households → consumerist lifestyle → don't save large amount of money in Banks. So their banks borrow more quantum of money from US Federal reserve and European Central Bank respectively. Whereas in India, Repo is not major source of funds for Indian banks, due to higher level of savings & deposits. (पाश्चात्य देशो मे उपभोक्तावादी जीवनशैली. जबकि

भारतीयो मे बेंक-बचत की भावना के चलते हमारे बेंकों के लिए आरबीआई के रेपों लोन, पैसो का मुख्यय स्त्रोत नहीं है। अंत: रिपो दर सस्ते होने पर भारतीय बेंको को खास फर्क नहीं पड़ता।)

2) 😨 Before the External Benchmark System: Indian **Banks did not immediately pass** on the RBI rate cuts to customers, citing NPA/Bad loans / profitability problem. According to RBI's own research, it took minimum 6-12 months for repo rate cut to benefit end-customers and it took about 24 months for repo rate changes to impact inflation. (बाहरी-बेंचमार्क से पहेले के समय मे,भारतीय बेंक तुरंत अपने ब्याजदर कम नही करते थे।)

3) 😨 Poor management in Public Sector Banks (PSB), scams in the private sector banks, large level of Non-Performing Assets (NPA) also stymie the impact of monetary policy. (सार्वजनिक क्षेत्र के बैंकों में बेअसर प्रबंधन, निजी क्षेत्र के बैंकों में घोटाले, अनर्जक परिसंपत्तिया) 📄 ***More in Pill1B2***

4) 😨 **Supply Side Issues:** El-Nino/Poor monsoon hurting crop production ⟶ food inflation; Wars & Geopolitical issues ↑ global crude oil & raw material prices, protectionism by China-US denting our exports. RBI can't control them. (कम बारिश + मध्यपूर्व की भूराजनीतिक तनाव= भारत मे कच्चे माल की आपूर्ति को असर करते है, चीन-अमरीका का संरक्षणवाद भारतीय निर्यातमे बाधा डालता है। इन्हे नियंत्रण मे रखना आरबीआई के लिए मुश्किल।) 📄**Refer Pill3&4A**

5) 😨 While cheap loans can boost consumption, investment and growth but because of poor-monsoon-fear and oil-price fear, RBI (during Raghuram Rajan and Urjit Patel's governorships) was usually apprehensive of inflation and more inclined to keep repo rate high. Then RBI was get criticized for not facilitating cheap loans & economic growth because of its 'Hawkish policy'. (महंगाई-नियंत्रण के चक्कर मे कभी कभी खुद रिजर्व के मंहगे रिपो-ब्याजदारों ने अर्थतन्त्र को आगे बढ्ने से रोका है।)

6) 😨 **Government Side Issues:** Fiscal deficit, Subsidy leakage, Populist Loan-waivers etc. (राजकोषीय खाध, सबसिडी का रिसाव, लोकलुभावन के लिए किसानो की ऋण-माफी) 📄 ***Pill#2D ⟶ FRBM Act***

7) 😨 **Structural Issues in Economy:** lack of Ease of Doing Biz, electricity-road infrastructure = production /supply affecting inflation trends. (व्यापारमे सुगमता की कमी, बिजली-सड़क की अवसंरचना आदि बुनियादी मसलो के चलते उत्पादन/आपूर्ति की कमी। रिजर्व बैंक जादू की छड़ी चलाकर इसे दुरुस्त नहीं कर सकता) 📄***More in Pill4B&5***

8) ***Lazy Banking*** = If bankers do not put enough efforts to find loan clients, then money-multipler will not improve.

9) 😨 Presence of **Informal moneylenders in** rural areas who circulate black money at exorbitant interest rates. Poor penetration of banking sector, lack of financial inclusion in rural economy etc. (ब्याजखोर/साहूकार जो कालाधन ऊंचे ब्याज पर घुमाते है, सभी गरीबो के वित्तीय समोवेशन की कमी, नगदी मुद्रा पर ज्यादा आधीन है हमारी ग्रामीण अर्थव्यवस्था। रिजर्व बैंक रेपो दर कम भी करें, इधर कुछ फर्क नहीं पड़ता) 📄***More in Pill1D***

12.28.1 🐯📈 Monetary policy - target failed in 2022?

Yes, bcoz 2022-Jan to Nov, the CPI remained > 6% for more than 9 months.

More about inflation in Pillar4E: macroeconomic indicators – inflation.

🔠 **MCQ. Consider the following statements: (Prelims-2023)**

st-I: In the post-pandemic recent past, many Central Banks worldwide hiked interest rates.

st-II: Central Banks generally assume that they have the ability to counteract the rising consumer

prices via monetary policy means.

Which one of the following is correct in respect of the above statements?

(a) Both st-I and st-II are correct and st-II is the correct explanation for st-I

(b) Both st-I and st-II are correct and st-II is not the correct explanation for st-I

(c) st-I is correct but st-II is incorrect (d) st-I is incorrect but st-II is correct

12.28.2 Monetary policy limitations: Black Swan Events

- A Black Swan Event means an unprecedented unexpected extreme risk event e.g. 2007's USA sub-prime crisis, 2020's Corona. (ऐसी अप्रत्याशित घटना जिससे अर्थतंत्र को बहुत नुक़सान हो जाता है)
- Black Swan Theory given by author Nassim Nicholas Taleb in book– The Black Swan.

12.28.3 Monetary Policy: Soft landing vs Hard Landing

What does above chart mean? Ans. Explained in the video lecture.

12.28.4 Monetary policy limitations: Cantillon Effect

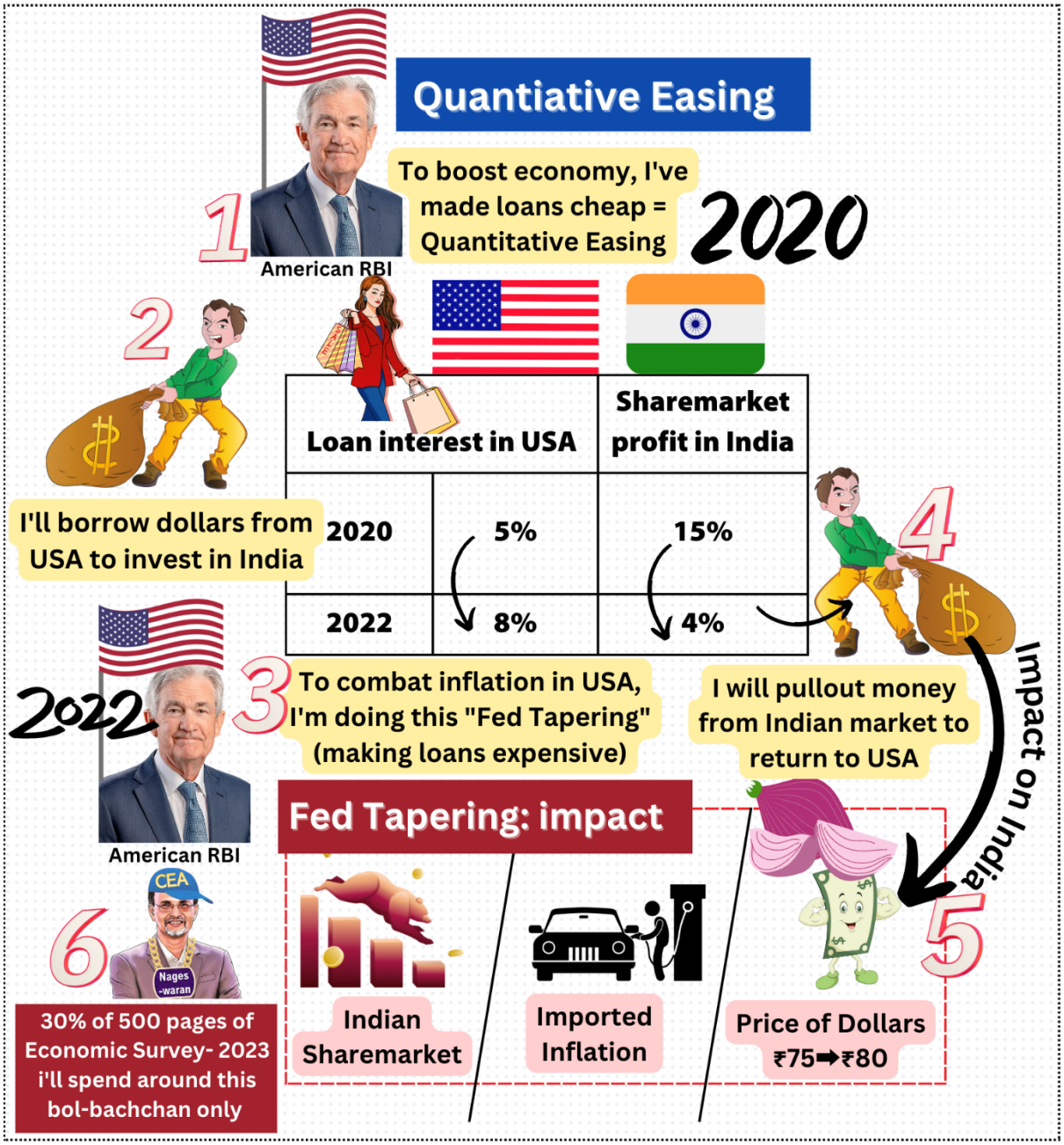
⇒ Concept given by the 18th century French economist Richard Cantillon.

⇒ When the money supply is increased, the purchasing power of people who first receive the freshly-created money is increased at the cost of the rest of people. (लोन जब सस्ता होता है तो अमीर लोग ही ज्यादा लोन अपने कब्जे में लेके कोठी बंगलो के दाम बढ़ा देते हैं)

⇒ It could also result in **Stagflation**= high inflation, high unemployment and low growth. (REF Pillar4D GDP For more) (अंततः उच्च महंगाई दर, उच्च बेरोजगारी दर हो सकती है और आर्थिक वृद्धि दर में गिरावट हो सकती है)

⇒ What does it mean? Ans. Watch video lecture.

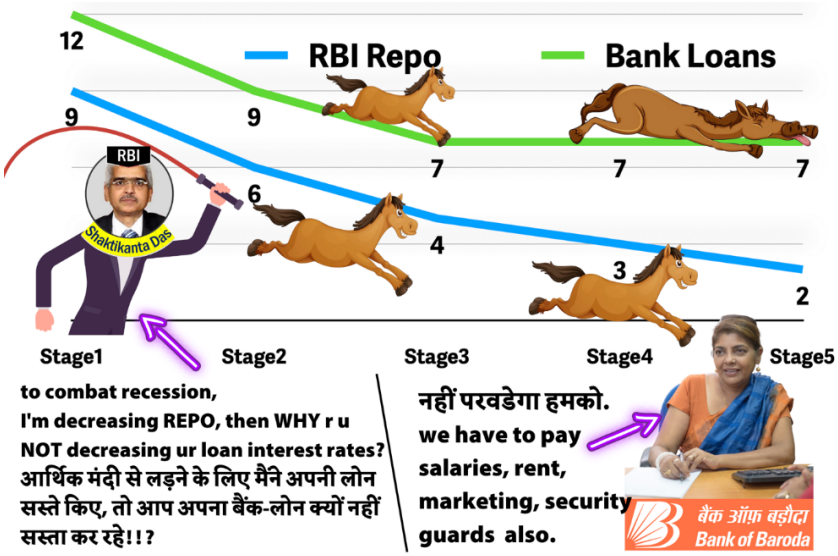
12.28.5 🐯📢📈USA Quantitative Easing (QE) & Fed Tapering : Impact on India



FAQ: What does above chart mean? Ans. Explained in the Video lecture.

12.28.6 💦🕸️Liquidity Trap (तरलता जाल)

- Term was first used by economist John Maynard Keynes. Concept explained through the comix given in next page. For more details, watch lecture.



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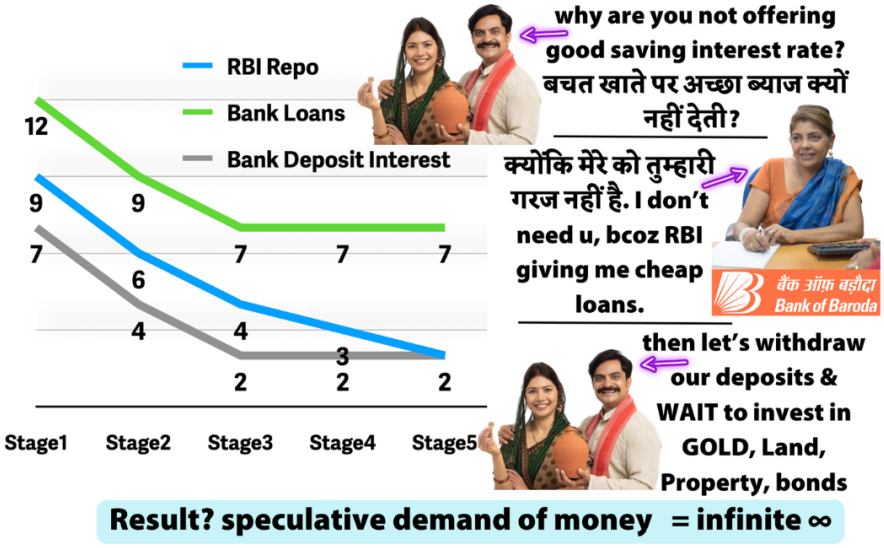

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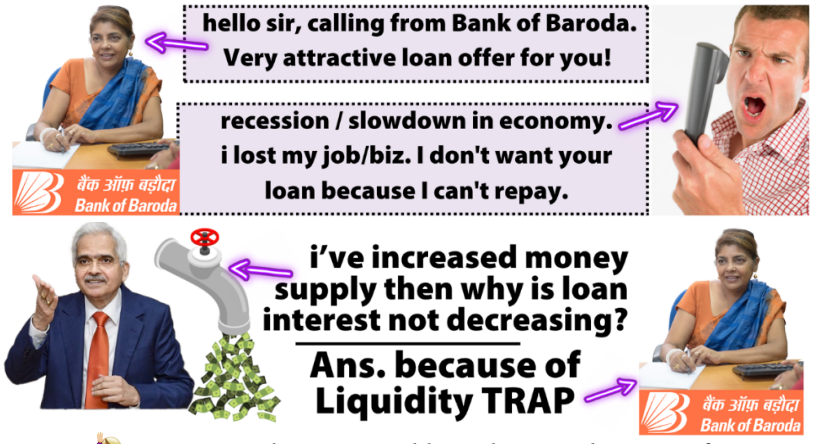

12.28.7 FAQ: Liquidity trap and liquidity overhang confusion / compare contrast

- look at these two topics at separate photo-frames. don't cook Khichdi by mixing them.
- Mains = separate course for it. NEXT HDT: Pillar1B1- Classification of Banks and NBFCs